

CONSOLIDATED FINANCIAL STATEMENTS
December 31, 2022 and 2021



YEAR-END REPORT.

2022

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TABLE OF CONTENTS

1	INDEPENDENT AUDITOR'S REPORT
6	CONSOLIDATED BALANCE SHEETS
7	CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME
8	CONSOLIDATED STATEMENTS OF CASH FLOWS
9	CONSOLIDATED STATEMENTS OF EQUITY
10	NOTES TO CONSOLIDATED FINANCIAL STATEMENTS



Independent auditor's report

To the Unitholders of SmartCentres Real Estate Investment Trust

Our opinion

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of SmartCentres Real Estate Investment Trust and its subsidiaries (together, the Trust) as at December 31, 2022 and 2021, and its financial performance and its cash flows for the years then ended in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board (IFRS).

What we have audited

The Trust's consolidated financial statements comprise:

- the consolidated balance sheets as at December 31, 2022 and 2021;
- the consolidated statements of income and comprehensive income for the years then ended;
- the consolidated statements of cash flows for the years then ended;
- the consolidated statements of equity for the years then ended; and
- the notes to the consolidated financial statements, which include significant accounting policies and other explanatory information.

Basis for opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Trust in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Canada. We have fulfilled our other ethical responsibilities in accordance with these requirements.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the year ended December 31, 2022. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

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Key audit matter

Valuation of investment properties

Refer to note 2 – Summary of significant accounting policies and note 4 – Investment properties to the consolidated financial statements.

The Trust measures its investment properties at fair value and, as at December 31, 2022, total investment properties were valued at \$10,250 million and include income properties and properties under development (PUD). Fair values of investment properties are determined using valuations prepared by management, with reference to available external data. PUD is valued using land development and construction costs recorded at market value or the discounted cash flow valuation method and income properties are valued using the discounted cash flow valuation method. Management applied significant judgment in determining the fair values of investment properties using the two methods described above (the valuation methods). The significant assumptions in the land development and construction costs recorded at market value include the market value per acre for land.

The significant assumptions used in the discounted cash flow valuation method include estimated future cash flows over an average period of 10 years, discount rates and terminal capitalization rates. The determination of estimated future cash flows incorporates significant assumptions including expectations of changes in rental rates, occupancy rates, lease renewal rates and downtime on existing lease expiries.

We considered this a key audit matter due to the significant judgments by management when determining the fair values of the income properties and PUD and the high degree of

How our audit addressed the key audit matter

Our approach to addressing the matter included the following procedures, among others:

- For a sample of investment properties, tested how management determined the fair value, which included the following:
 - Tested the underlying data used in the valuations.
 - Evaluated the reasonableness of the estimated future cash flows over an average period of 10 years used in the discounted cash flow valuation method by comparing assumptions, such as expected changes in occupancy rates, to external market and industry data and comparing components of the year one cash flows to the underlying accounting records.
 - Professionals with specialized skill and knowledge in the field of real estate valuations assisted us in evaluating the appropriateness of the valuation methods and in evaluating the reasonableness of the discount rates, terminal capitalization rates, changes in rental rates, lease renewal rates and downtime on existing lease expiries.
 - Assessed the market value of land per acre used by management by comparing it to external market and industry data.



Key audit matter

How our audit addressed the key audit matter

complexity in assessing audit evidence related to the significant assumptions used by management. In addition, the audit effort involved the use of professionals with specialized skill and knowledge in the field of real estate valuations.

Other information

Management is responsible for the other information. The other information comprises the Management's Discussion and Analysis, which we obtained prior to the date of this auditor's report and the information, other than the consolidated financial statements and our auditor's report thereon, included in the annual report, which is expected to be made available to us after that date.

Our opinion on the consolidated financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard. When we read the information, other than the consolidated financial statements and our auditor's report thereon, included in the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Trust's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Trust or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Trust's financial reporting process.



Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Trust's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Trust's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Trust to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Trust to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Daniel D'Archivio.

/s/ PricewaterhouseCoopers LLP

Chartered Professional Accountants, Licensed Public Accountants

Vaughan, Ontario
February 8, 2023

SMARTCENTRES REAL ESTATE INVESTMENT TRUST

CONSOLIDATED BALANCE SHEETS

(in thousands of Canadian dollars)

As at December 31,	Note	2022	2021
Assets			
Non-current assets			
Investment properties	4	10,208,071	9,847,078
Equity accounted investments	5	680,999	654,442
Mortgages, loans and notes receivable	6	238,099	345,089
Other financial assets	8	171,807	97,148
Other assets	7	83,230	80,940
Intangible assets	9	43,807	45,139
		11,426,013	11,069,836
Current assets			
Assets held for sale	4	42,321	—
Residential development inventory	10	40,373	27,399
Current portion of mortgages, loans and notes receivable	6	86,593	71,947
Amounts receivable and other	11	57,124	49,542
Prepaid expenses, deposits and deferred financing costs	11	14,474	12,289
Cash and cash equivalents	21	35,255	62,235
		276,140	223,412
Total assets		11,702,153	11,293,248
Liabilities			
Non-current liabilities			
Debt	12	4,523,987	4,176,121
Other financial liabilities	13	277,400	326,085
Other payables	14	17,265	18,243
		4,818,652	4,520,449
Current liabilities			
Current portion of debt	12	459,278	678,406
Accounts payable and current portion of other payables	14	261,122	253,078
		720,400	931,484
Total liabilities		5,539,052	5,451,933
Equity			
Trust Unit equity		5,126,197	4,877,961
Non-controlling interests		1,036,904	963,354
		6,163,101	5,841,315
Total liabilities and equity		11,702,153	11,293,248

Commitments and contingencies (Note 28)

The accompanying notes are an integral part of the consolidated financial statements.

Approved by the Board of Trustees.



Michael Young
Trustee



Garry Foster
Trustee

SMARTCENTRES REAL ESTATE INVESTMENT TRUST
CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME
(in thousands of Canadian dollars)

For the years ended December 31,	Note	2022	2021
Net rental income and other			
Rentals from investment properties and other	18	804,598	780,796
Property operating costs and other	19	(301,994)	(294,956)
Net rental income and other		502,604	485,840
Other income and expenses			
General and administrative expense, net	20	(33,269)	(31,922)
Earnings from equity accounted investments	5	4,199	211,420
Fair value adjustment on revaluation of investment properties	26	201,834	491,528
Gain on sale of investment properties		315	27
Interest expense	12(d)	(148,702)	(144,540)
Interest income		18,036	12,341
Fair value adjustment on financial instruments	26	91,246	(34,227)
Acquisition-related costs		(298)	(2,791)
Net income and comprehensive income		635,965	987,676
Net income and comprehensive income attributable to:			
Trust Units		516,049	827,976
Non-controlling interests		119,916	159,700
		635,965	987,676

The accompanying notes are an integral part of the consolidated financial statements.

SMARTCENTRES REAL ESTATE INVESTMENT TRUST

CONSOLIDATED STATEMENTS OF CASH FLOWS

(in thousands of Canadian dollars)

For the years ended December 31,	Note	2022	2021
Cash provided by (used in)			
Operating activities			
Net income and comprehensive income		635,965	987,676
Items not affecting cash and other items	21	(154,639)	(519,801)
Cash interest paid	12(d)	(139,693)	(150,554)
Interest received		44,119	17,648
Distributions from equity accounted investments	5	4,784	4,072
Expenditures on direct leasing costs and tenant incentives		(9,860)	(5,927)
Expenditures on tenant incentives for properties under development		(1,897)	(730)
Changes in other non-cash operating items	21	(8,017)	39,240
Cash flows provided by operating activities		370,762	371,624
Financing activities			
Repayment of unsecured debentures	12(b)	—	(623,120)
Proceeds from unsecured debt		700,000	68,532
Proceeds from revolving operating facilities		392,000	300,000
Repayments of secured debt		(281,983)	(88,749)
Repayments of revolving operating facility		(610,000)	—
Repayments of other unsecured debt		(154,913)	(23,015)
Distributions paid on Trust Units		(267,563)	(267,552)
Distributions paid on non-controlling interests and Units classified as liabilities		(52,007)	(55,032)
Payment of lease liability		(1,883)	(1,873)
Cash flows used in financing activities		(276,349)	(690,809)
Investing activities			
Acquisitions and Earnouts of investment properties	3	(128,389)	(328,765)
Additions to investment properties		(131,057)	(78,627)
Additions to equity accounted investments		(22,774)	(25,871)
Additions to equipment	7	(1,589)	(349)
Increase in cash held as collateral		(94,821)	(50,279)
Decrease in cash held as collateral	8(b)	145,100	—
Advances of mortgages and loans receivable		(50,485)	(68,371)
Repayments of mortgages and loans receivable		120,800	57,685
Net proceeds from sale of investment properties		41,822	81,403
Cash flows used in investing activities		(121,393)	(413,174)
Decrease in cash and cash equivalents during the year		(26,980)	(732,359)
Cash and cash equivalents – beginning of year		62,235	794,594
Cash and cash equivalents – end of year		35,255	62,235
Supplemental cash flow information (see Note 21)			

The accompanying notes are an integral part of the consolidated financial statements.

SMARTCENTRES REAL ESTATE INVESTMENT TRUST

CONSOLIDATED STATEMENTS OF EQUITY

For the years ended December 31, 2022 and December 31, 2021
(in thousands of Canadian dollars)

	Note	Attributable to Unitholders			Attributable to LP Units Classified as Non-Controlling Interests			Other Non- Controlling Interest (Note 22)	Total Equity
		Trust Units (Note 16)	Retained Earnings	Unit Equity	LP Units (Note 16)	Retained Earnings	LP Unit Equity		
Equity – January 1, 2021		3,090,188	1,227,169	4,317,357	640,206	205,927	846,133	3,485	5,166,975
Issuance of Units	16	198	—	198	1,738	—	1,738	—	1,936
Unit issuance costs	16	(18)	—	(18)	—	—	—	—	(18)
Net income and comprehensive income		—	827,976	827,976	—	159,320	159,320	380	987,676
Distributions	17	—	(267,552)	(267,552)	—	(47,282)	(47,282)	(420)	(315,254)
Equity – December 31, 2021		3,090,368	1,787,593	4,877,961	641,944	317,965	959,909	3,445	5,841,315
Equity – January 1, 2022		3,090,368	1,787,593	4,877,961	641,944	317,965	959,909	3,445	5,841,315
Issuance of Units	16	—	—	—	1,279	—	1,279	—	1,279
Unit issuance costs	16	(250)	—	(250)	—	—	—	—	(250)
Net income and comprehensive income		—	516,049	516,049	—	119,519	119,519	397	635,965
Distributions	17	—	(267,563)	(267,563)	—	(47,363)	(47,363)	(282)	(315,208)
Equity – December 31, 2022		3,090,118	2,036,079	5,126,197	643,223	390,121	1,033,344	3,560	6,163,101

The accompanying notes are an integral part of the consolidated financial statements.

SMARTCENTRES REAL ESTATE INVESTMENT TRUST

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

For the years ended December 31, 2022 and December 31, 2021

(in thousands of Canadian dollars, except Unit, square foot and per Unit amounts)

1. Organization

SmartCentres Real Estate Investment Trust and its subsidiaries (collectively, “the Trust”), is an unincorporated open-ended mutual fund trust governed by the laws of the Province of Alberta created under a declaration of trust, dated December 4, 2001, subsequently amended and last restated on December 9, 2020 (“the Declaration of Trust”). The Trust develops, leases, constructs, owns and manages shopping centres, office buildings, high-rise and low-rise condominiums and rental residences, seniors’ housing, townhome units, self-storage rental facilities, and industrial facilities in Canada, both directly and through its subsidiaries, Smart Limited Partnership, Smart Limited Partnership II, Smart Limited Partnership III, Smart Limited Partnership IV, Smart Oshawa South Limited Partnership, Smart Oshawa Taunton Limited Partnership, Smart Boxgrove Limited Partnership, ONR Limited Partnership, ONR Limited Partnership I, and SmartVMC West Limited Partnership. The exchangeable securities of these subsidiaries, which are presented as non-controlling interests or as a liability, as appropriate, are economically equivalent to voting trust units (“Trust Units”) as a result of voting, exchange and distribution rights as more fully described in Note 16(a). The address of the Trust’s registered office is 3200 Highway 7, Vaughan, Ontario, L4K 5Z5. The Units of the Trust are listed on the Toronto Stock Exchange (“TSX”) under the ticker symbol “SRU.UN”.

These consolidated financial statements have been approved for issue by the Board of Trustees on February 8, 2023. The Board of Trustees has the power to amend the consolidated financial statements after issue.

As at December 31, 2022, the Penguin Group of Companies (“Penguin”), owned by Mitchell Goldhar, owned approximately 20.8% (December 31, 2021 – 20.8%) of the issued and outstanding Units of the Trust and Limited Partnerships (see also Note 22, “Related party transactions”).

2. Summary of significant accounting policies

2.1 Basis of presentation

The Trust’s consolidated financial statements are prepared on a going concern basis and have been presented in Canadian dollars rounded to the nearest thousand. The consolidated financial statements have been prepared under the historical cost convention, except for the revaluation of investment property and certain financial and derivative instruments (discussed in Note 2.4 and Note 2.11, respectively). The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements, unless otherwise indicated.

Statement of compliance

The consolidated financial statements of the Trust have been prepared in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board (“IFRS”).

2.2 Principles of consolidation

Subsidiaries are all entities over which the Trust has control. The Trust controls an entity when the Trust is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Trust. They are deconsolidated from the date that control ceases.

Inter-entity transactions, balances, unrealized losses and unrealized gains on transactions between the Trust and its subsidiaries are eliminated. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Trust.

Non-controlling interests represent equity interests in subsidiaries not attributable to the Trust. The share of net assets of subsidiaries attributable to non-controlling interests is presented as a component of equity. Net income and comprehensive income are attributed to Trust Units and non-controlling interests.

Interests in joint arrangements

Investments in joint arrangements are classified as either joint operations or joint ventures depending on the contractual rights and obligations of each investor. A joint operation is a joint arrangement whereby the parties that have joint control have rights to the assets and obligations for the liabilities relating to the arrangement. The Trust is a co-owner in several properties that are subject to joint control and has determined that certain current joint arrangements are joint operations as the Trust, through its subsidiaries, is the direct beneficial owner of the Trust’s interests in the properties. For these properties, the Trust recognizes its proportionate share of the assets, liabilities, revenue and expenses of these co-ownerships in the respective lines in the consolidated financial statements (see Note 24, “Co-owned property interests”).

2.3 **Equity accounted investments**

a) *Investment in associates*

Investment in associates includes entities over which the Trust has significant influence but not control or joint control, generally accompanying an ownership of between 20% and 50% of the voting rights. Investment in associates is accounted for using the equity method of accounting and recorded as equity accounted investments on the consolidated balance sheet. Under the equity method, the investment is initially recognized at cost, and the carrying amount is increased or decreased to recognize the investor's share of the profit or loss of the investee, including the Trust's pro rata share of changes in fair value of investment property held by the associate from the previous reporting period, after the date of acquisition. The Trust's investment in associates includes any notional goodwill identified on acquisition.

b) *Investment in joint ventures*

A joint venture is a joint arrangement whereby the parties that have joint control only have rights to the net assets of the arrangement. Investment in joint ventures is accounted for using the equity method of accounting and recorded as equity accounted investments on the consolidated balance sheet. Under the equity method, the investment is initially recognized at cost, and the carrying amount is increased or decreased to recognize the investor's share of the profit or loss of the investee, including the Trust's pro rata share of changes in fair value of investment property held by the equity accounted investment from the previous reporting period, after the date of acquisition. The Trust's investment in joint ventures includes any notional goodwill identified on acquisition.

The Trust's share of post-acquisition profit or loss is recognized in the consolidated statement of income and comprehensive income with a corresponding adjustment to the carrying amount of the equity accounted investment. When the Trust's share of losses in an equity accounted investment equals or exceeds its interest in the equity accounted investment, including any other unsecured receivables, the Trust does not recognize further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the equity accounted investment.

The Trust determines at each reporting date whether there is any objective evidence that the equity accounted investment is impaired. If this is the case, the Trust calculates the amount of impairment as the difference between the recoverable amount of the equity accounted investment and its carrying value and recognizes the amount in the consolidated statement of income and comprehensive income.

Profits and losses resulting from upstream and downstream transactions between the Trust and its equity accounted investment are recognized in the Trust's consolidated financial statements only to the extent of an unrelated investor's interests in the equity accounted investment. Accounting policies of equity accounted investments are updated when necessary to ensure consistency with the policies adopted by the Trust.

Condominium sales revenue

Some of the Trust's equity accounted investments generated revenue from condominium sales. The Trust's equity accounted investments adopted the accounting policy which requires that the revenue generated from contracts with customers on the sale of residential condominium units is recognized at a point in time when control of the asset (i.e., condominium unit) has transferred to the purchaser (i.e., generally, when the purchaser takes possession of the condominium unit) as the purchaser has the ability to direct the use of and obtain substantially all of the remaining benefits from the asset. The amount of revenue recognized is based on the transaction price included in the purchasers' contracts. Any funds received prior to the purchasers taking possession of their respective assets are recognized as deferred revenue (contractual liability).

Condominium cost of sales

The Trust's equity accounted investments allocate inventory costs associated with the development of condominiums to direct operating costs on a per unit basis using the net yield method. In addition, if post-closing costs are expected (i.e., remaining construction costs, warranties etc.), the unit's allocation of the post-closing costs are included in cost of sales and a cost to complete liability is recorded.

2.4 **Investment properties**

Investment properties include income properties and properties under development (land or building, or part of a building, or both) that are held by the Trust, or leased by the Trust as a lessee, to earn rentals or for capital appreciation or both.

Acquired investment properties are measured initially at cost, including related transaction costs in connection with asset acquisitions. Certain properties are developed by the Trust internally, and other properties are developed and leased to third parties under development management agreements with Penguin and other vendors ("Earnouts"). Earnouts occur when the vendors retain responsibility for managing certain developments on land acquired by the Trust for additional proceeds paid on completion calculated based on a predetermined, or formula-based, capitalization rate,

net of land and development costs incurred by the Trust (see Note 4(d)(ii)). The completion of an Earnout is reflected as an additional purchase in Note 3, "Acquisitions and Earnouts". Costs capitalized to properties under development include direct development and construction costs, Earnout Fees ("Earnout Fees"), borrowing costs, property taxes and other carrying costs, as well as capitalized staff compensation and other costs directly attributable to property under development.

Borrowing costs that are incurred for the purpose of, and are directly attributable to, acquiring or constructing a qualifying investment property are capitalized as part of its cost. The amount of borrowing costs capitalized is determined first by reference to borrowings specific to the project, where relevant, and otherwise by applying a weighted average cost of borrowings to eligible expenditures after adjusting for borrowings associated with other specific developments. Borrowing costs are capitalized while acquisition or construction is actively underway and cease once the asset is ready for use as intended by management, or suspended if the development of the asset is suspended, as identified by management.

After the initial recognition, investment properties are recorded at fair value, determined based on comparable transactions, if any. If comparable transactions are not available, the Trust uses alternative valuation methods such as: i) the discounted cash flow valuation method, and ii) land, development and construction costs recorded at market value. Valuations, where obtained externally, are performed during the year with quarterly updates on capitalization rates by professional valuers who hold recognized and relevant professional qualifications and have recent experience in the location and category of the investment property being valued. Related fair value gains and losses are recorded in the consolidated statements of income and comprehensive income in the period in which they arise.

Investment property held by the Trust under a lease is classified as investment property when the definition of an investment property is met and the Trust accounts for the lease as a right-of-use asset. The Trust accounts for all leasehold property interests that meet the definition of investment property held by the Trust as right-of-use assets.

Subsequent expenditure is capitalized to the investment property's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Trust and the cost of the item can be measured reliably. All other repairs and maintenance costs are expensed when incurred. When part of an investment property is replaced, the carrying amount of the replaced part is derecognized.

Initial direct leasing costs incurred by the Trust in negotiating and arranging tenant leases are added to the carrying amount of investment properties.

An investment property is classified as held for sale when it is expected that its carrying amount will be recovered principally through a sale transaction rather than through continuing use. For an investment property to be classified as held for sale: i) it must be available for immediate sale in its present condition, subject only to terms that are usual and customary for sales of such property, and ii) the sale must be highly probable, management must be committed to a plan to sell the assets, and the sale is expected generally within one year of classification. The Trust continues to measure investment properties, including those classified as held for sale, at fair value. Assets held for sale are presented separately on the consolidated balance sheets.

2.5 Residential development inventory

Residential development inventory, which is developed for sale in the ordinary course of business within the normal operating cycle, is stated at the lower of cost and estimated net realizable value. Residential development inventory is reviewed for impairment at each reporting date. An impairment loss is recognized as an expense when the carrying value of the property exceeds its net realizable value. Net realizable value is based on projections of future cash flows, which take into account the development plans for each project and management's best estimate of the most probable set of anticipated economic conditions.

The cost of residential development inventory includes borrowing costs directly attributable to projects under active development. The amount of borrowing costs capitalized is determined first by reference to borrowings specific to the project, where relevant, and otherwise by applying a weighted average interest rate for the Trust's other borrowings to eligible expenditures. Borrowing costs are not capitalized on residential development inventory where no development activity is taking place. Residential development inventory is presented separately on the consolidated balance sheets as current assets, as the Trust intends to sell these assets in the ordinary course of business within the normal operating cycle.

The revenue generated from contracts with customers on the sale of townhomes and residential condominium units is recognized at a point in time when control of the asset (i.e., townhome or condominium unit) has transferred to the purchaser (i.e., generally, when the purchaser takes possession of the townhome or condominium unit) as the

purchaser has the ability to direct the use of and obtain substantially all of the remaining benefits from the asset. The amount of revenue recognized is based on the transaction price included in the purchasers' contracts. Any funds received prior to the purchasers taking possession of their respective assets are recognized as deferred revenue (contractual liability).

2.6 **Business combinations**

The Trust applies business combination accounting whereby identifiable assets acquired and liabilities assumed are measured at their acquisition date fair values. Any excess of the purchase price over the fair value of identifiable net assets acquired is considered goodwill. If the purchase price is less than the fair value of the net assets acquired the difference is recognized directly in the consolidated statement of income and comprehensive income as a gain. The Trust expenses any transaction costs associated with a business combination in the period incurred. When an acquisition does not meet the criteria for a business, it is accounted for as an asset acquisition. Any transaction costs associated with an asset acquisition are allocated to the assets acquired and liabilities assumed. No goodwill is recognized for asset acquisitions.

2.7 **Intangible assets**

The Trust's intangible assets comprise key joint venture relationships, trademarks and goodwill. The joint venture relationships and trademarks have finite useful lives, and as such are amortized over a period of 30 years and reviewed for impairment when an indication of impairment exists. Goodwill is not amortized but tested for impairment at least annually, or more frequently if there are indicators of impairment.

2.8 **Equipment**

Equipment is stated at cost less accumulated amortization and accumulated impairment losses and is included in other assets. Cost includes expenditures that are directly attributable to the acquisition of the asset.

The Trust records amortization expense on a straight-line basis over the assets' estimated useful lives included in the table as follows:

Office furniture and fixtures	Up to 7 years
Computer hardware	Up to 5 years
Computer software	Up to 7 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at least at each financial year-end. If events and circumstances indicate an asset may be impaired, the asset's carrying amount is written down immediately to its recoverable amount if its carrying amount is greater than its estimated recoverable amount defined as the higher of an asset's fair value less costs to sell and its value in use.

2.9 **Provisions**

Provisions are recognized when: i) the Trust has a present legal or constructive obligation as a result of past events; ii) it is probable that an outflow of resources will be required to settle the obligation; and iii) the amount can be reliably estimated.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation that reflect current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognized as interest expense.

2.10 **Classification of Units as liabilities and equity**

a) *Trust Units*

The Trust Units meet the definition of a financial liability under IFRS as the redemption feature of the Trust Units creates an unavoidable contractual obligation to pay cash.

The Trust Units are considered to be "puttable instruments" because of the redemption feature. IFRS provides a very limited exemption to allow puttable instruments to be presented as equity provided certain criteria are met.

To be presented as equity, a puttable instrument must meet all of the following conditions: i) it must entitle the holder to a pro rata share of the entity's net assets in the event of the entity's dissolution; ii) it must be in the class of instruments that is subordinate to all other instruments; iii) all instruments in the class in ii) must have identical features; iv) other than the redemption feature, there can be no other contractual obligations that meet the definition of a liability; and v) the expected cash flows for the instrument must be based substantially on the profit or loss of the entity or change in fair value of the instrument. This is called the "Puttable Instrument Exemption".

The Trust Units meet the Puttable Instrument Exemption criteria and accordingly are presented as equity in the consolidated financial statements. The distributions on Trust Units are deducted from retained earnings.

b) Limited Partnership Units

The Class B General Partnership Units and Class D Limited Partnership Units of Smart Limited Partnership (referred to herein as “Smart LP Units”), Class B Limited Partnership Units of Smart Limited Partnership II (referred to herein as “Smart LP II Units”), Class B General Partnership Units of Smart Limited Partnership III (referred to herein as “Smart LP III Units”), Class B General Partnership Units of Smart Limited Partnership IV (referred to herein as “Smart LP IV Units”), Class B General Partnership Units and Class D Limited Partnership Units of Smart Oshawa South Limited Partnership (referred to herein as “Smart Oshawa South LP Units”), Class B General Partnership Units and Class D Limited Partnership Units of Smart Oshawa Taunton Limited Partnership (referred to herein as “Smart Oshawa Taunton LP Units”), Class B Limited Partnership Units of ONR Limited Partnership (referred to herein as “ONR LP Units”), Class B Limited Partnership Units of ONR Limited Partnership I (referred to herein as “ONR LP I Units”), Class B Limited Partnership Units of Smart Boxgrove Limited Partnership (referred to herein as “Smart Boxgrove LP Units”), and Class D Limited Partnership Units of SmartVMC West Limited Partnership (referred to herein as “SmartVMC West LP Units”) are exchangeable into Trust Units at the partners’ option. All limited partnership units that are presented as equity are referred to herein as “LP Units” (individually, each of these limited partnerships are referred to herein as an LP).

The original characteristics of the LP Units indicated that they were exchangeable into a liability (the Trust Units are a liability by definition), and accordingly were also considered to be a liability, measured at amortized cost each reporting period with changes in carrying amount recorded directly in the consolidated statements of income and comprehensive income, and on that basis, the distributions on such Units were classified as interest expense in the consolidated statements of income and comprehensive income.

However, amendments were made effective December 31, 2012 to the Exchange, Option and Support Agreements (“EOSA”) for each respective LP that require the Trust to convert to a closed-end trust prior to honouring a redemption request by the partners. Converting to a closed-end trust will classify the Trust Units as equity as the Trust Units will no longer have the redemption feature. As a result, the LP Units meet the Puttable Instrument Exemption criteria and as such are presented in equity as non-controlling interests in the Trust’s consolidated financial statements.

The Class D Smart LP Units, Class F Smart LP Units, Class D Smart Oshawa South LP Units, Class D Smart Oshawa Taunton LP Units, Class B ONR LP Units, Class B ONR LP I Units, and Class D SmartVMC West LP Units (collectively referred to herein as “Units classified as liabilities”), are presented as a liability, designated at fair value in accordance with IFRS 9, “Financial Instruments” (“IFRS 9”), and approximate the fair value of Trust Units, with changes in fair value recorded directly in earnings. The distributions on such Units are classified as interest expense in the consolidated statement of income and comprehensive income. The Trust considers distributions on such Units classified as interest expense to be a financing activity in the consolidated statement of cash flows.

2.11 Financial instruments – recognition and measurement

The Trust’s financial instruments are accounted for under IFRS 9:

Initial Recognition

The Trust recognizes a financial asset or a financial liability when, and only when, it becomes a party to the contractual provisions of the instrument. Such financial assets or financial liabilities are initially recognized at their fair value, including directly attributable transaction costs in the case of a financial asset or financial liability not subsequently measured at fair value through profit or loss. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss. Subsequent measurement depends on the initial classification of the financial asset or financial liability.

Classification

The classification of financial assets depends on the entity’s business model for managing the financial assets and the contractual terms of the cash flows. Financial assets are classified and measured based on the following categories:

- amortized cost;
- fair value through other comprehensive income (“FVTOCI”); and
- fair value through profit or loss (“FVTPL”).

The following table summarizes the Trust's classification and measurement of financial assets and liabilities:

	Note	Classification under IFRS 9
Financial assets		
Mortgages, loans and notes receivable		Amortized cost
Amounts receivable and other		Amortized cost
Cash and cash equivalents		Amortized cost
Cash held as collateral	2.12	Amortized cost
Total return swap receivable		FVTPL
Other financial assets		FVTPL
Financial liabilities		
Accounts payable and other payables		Amortized cost
Secured debt		Amortized cost
Revolving operating facilities		Amortized cost
Unsecured debt		Amortized cost
Units classified as liabilities	2.10	FVTPL
Earnout options	2.13	FVTPL
Deferred unit plan ("DUP")	2.13	FVTPL
Long term incentive plan ("LTIP")	2.13	FVTPL
Equity incentive plan ("EIP")	2.13	FVTPL
Other financial liabilities		FVTPL

a) *Financing costs*

Financing costs include commitment fees, underwriting costs and legal costs associated with the acquisition or issuance of financial assets or liabilities.

Financing costs relating to secured debt, non-revolving credit facilities, and convertible and unsecured debentures are accounted for as part of the respective liability's carrying value at inception and amortized to interest expense using the effective interest method. Financing costs incurred to establish revolving credit facilities are deferred as a separate asset on the consolidated balance sheet and amortized on a straight-line basis over the term of the facilities. In the event any debt is extinguished, any associated unamortized financing costs are expensed immediately.

b) *Derivative instruments*

Derivative financial instruments may be utilized by the Trust in the management of its interest rate and foreign currency exposure. Derivatives are carried at fair value with changes in fair value recognized in net income. The Trust's policy is not to utilize derivative instruments for trading or speculative purposes.

c) *Fair value of financial and derivative instruments*

The fair value of financial instruments is the amount of consideration that would be agreed upon in an arm's-length transaction between knowledgeable, willing parties who are under no compulsion to act; i.e., the fair value of consideration given or received. In certain circumstances, the fair value may be determined based on observable current market transactions in the same instrument, using market-based inputs. The fair values are described and disclosed in Note 15, "Fair value of financial instruments".

d) *Currency swap agreement*

The currency swap is a contractual agreement to exchange payments based on specified notional amounts in two currencies, Canadian dollars and U.S. dollars, for a specific period. The currency swap agreement requires the exchange of net contractual payments periodically without the exchange of the notional principal amounts on which the payments are based. Changes in market value are recorded in net income and comprehensive income.

The currency swap payable reflects the fair value of the swap agreement, and is determined as the difference between the foreign exchange rate between Canadian dollars and U.S. dollars as per the swap agreement and the foreign exchange rate at the reporting date on the specified notional amount. The gain (loss) will be realized when the currency swap agreement matures or is unwound.

e) *Interest rate swap agreements*

The Trust may enter into interest rate swaps to economically hedge its interest rate risk. The fair value of interest rate swap agreements reflects the fair value of swap agreements at each reporting date, and is driven by the difference between the fixed interest rate and the applicable variable interest rate.

The fair value of interest rate swap agreements is determined using the discounted cash flow valuation technique on the expected cash flows of the derivatives. The future fixed cash payments and the expected variable cash receipts are discounted to the reporting date, and then netted to determine the fair value of each interest rate swap agreement. The expected variable cash receipts are based on expectations of future interest rates, which are derived from yield curves based on observable market data.

f) *Total return swap ("TRS") receivable*

The total return swap is a contractual agreement to exchange payments based on a specified notional amount and the underlying financial assets for a specific period. The total return to the Trust includes the total return generated by the underlying notional Trust Units, plus any appreciation, if there is any, in the market value of the notional Trust Units, less the amount equal to any decline, if there is any, in the market value of the underlying notional Trust Units. The total return swap agreement requires the exchange of net contractual payments periodically without the exchange of the notional principal amounts on which the payments are based. Changes in market value are recorded in net income and comprehensive income.

The Trust has funded the total return swap agreement by a loan from the counterparty. The loan is measured at amortized cost.

The total return swap receivable reflects the market value of the swap agreement, and is determined by reference to the value of the underlying notional Trust Units at each reporting date. The gain (loss) will be realized when the total return swap agreement matures or is unwound.

g) *Modifications or extinguishments of loans and debt*

Amendments to mortgages and loans receivable and debt are assessed as either modifications or extinguishments based on the terms of the revised agreements.

When a modification is determined, the carrying amount of the loan or debt is adjusted using the original effective interest rate, with a corresponding adjustment recorded as a gain or loss.

When an extinguishment is determined, the new loan or debt is recorded at its fair value and a corresponding gain/loss is recognized immediately for the difference between the carrying amount of the old loan or debt and the new loan or debt.

h) *Impairment of financial assets*

The Trust assesses, on a forward-looking basis, the expected credit losses ("ECL") associated with its debt instruments carried at amortized cost. The impairment is dependent on whether there has been a significant increase in credit risk.

For trade receivables, the Trust applies the simplified approach permitted by IFRS 9, which requires expected lifetime losses to be recognized from initial recognition of the receivables.

To measure the expected credit losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due. The contract assets ("Unbilled other tenant receivables") relate to unbilled work in progress and have substantially the same risk characteristics as the trade receivables for the same types of contracts. The Trust has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets. However, the assumptions and estimates underlying the manner in which ECLs have been implemented historically may not be appropriate in the current economic environment, including but not limited to the inflationary environment, with rising interest rates. Accordingly, the Trust has not applied its existing ECL methodology mechanically. Instead, during the current economic environment, the Trust has been in discussions with tenants on a case-by-case basis to determine optimal rent payment solutions and has incorporated this available, reasonable and supportable information when estimating ECL on tenant receivables.

All of the Trust's loans receivable and mortgages receivable at amortized cost are considered to have low credit risk, and the loss allowance recognized during the period was therefore limited to 12 months expected losses. These financial assets are considered by management to be "low credit risk" when these financial assets have a low risk of default and the borrower has a strong capacity to meet its contractual cash flow obligations in the near term.

i) *Cash held as collateral*

The Trust, from time to time, pledges cash and cash equivalents as security for derivative instruments with financial institutions. This balance is classified as cash held as collateral, a non-current financial asset, and is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period.

j) *Interest income*

Interest income is recognized as interest accrues using the effective interest method. When a loan and receivable are impaired, the Trust reduces the carrying amount to its recoverable amount, which is the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income. Interest income on impaired loans and receivables is recognized using the original effective interest rate.

2.12 **Cash and cash equivalents**

Cash and cash equivalents comprise cash and short-term investments with original maturities of three months or less.

2.13 **Trust and Limited Partnership Unit based arrangements**

a) *Unit options issued to non-employees on acquisitions (the "Earnout options")*

In connection with certain acquisitions and the associated development agreements, the Trust may grant options to acquire Units of the Trust or Limited Partnerships to Penguin or other vendors. These options are exercisable only at the time of completion and rental of additional space on acquired properties at strike prices determined on the date of grant. Earnout options that have not vested expire at the end of the term of the corresponding development management agreement.

The Earnout options are considered to be a financial liability because there is a contractual obligation for the Trust to deliver Trust or Limited Partnership Units upon exercise of the Earnout options. The Earnout options are considered to be contingent consideration with respect to the acquisitions they relate to, and are initially recognized at their fair value. The Earnout options are subsequently carried at fair value with changes in fair value recognized in the fair value adjustment on financial instruments in the consolidated statements of income and comprehensive income.

The fair value of Earnout options is determined using the Black-Scholes option-pricing model using certain observable inputs with respect to the volatility of the underlying Trust Unit price, the risk-free rate and using unobservable inputs with respect to the anticipated expected lives of the options, the number of options that will ultimately vest and the expected Trust Unit distribution rate. Generally, increases in the anticipated lives of the options, decreases in the number of options that will ultimately vest, and decreases in the expected Trust Unit distribution rate will combine to result in a lower fair value of Earnout options (see also 2.23(b)(i)).

b) *Deferred unit plan*

Deferred units granted to Trustees with respect to their Trustee fees, as well as the matching deferred units, vest immediately and are considered to be with respect to past services and are recognized as compensation expense upon grant. Deferred units granted to eligible associates with respect to their bonuses vest immediately, and the matching deferred units vest 50% on the third anniversary and 25% on each of the fourth and fifth anniversaries. Deferred units granted relating to amounts matched by the Trust are considered to be with respect to future services and are recognized as compensation expense based upon the fair value of Trust Units over the vesting period of each deferred unit.

The deferred units earn additional deferred units for the distributions that would otherwise have been paid on the deferred units as if they instead had been issued as Trust Units on the date of grant. The deferred units are considered to be a financial liability because there is a contractual obligation for the Trust to deliver Trust Units or settle in cash upon conversion or redemption of the deferred units.

The deferred units are measured at fair value using the market price of the Trust Units on each reporting date, with changes in fair value recognized in the consolidated statements of income and comprehensive income as additional compensation expense over their vesting period and as a gain or loss on financial instruments once vested. The additional deferred units are recorded in the consolidated statements of income and comprehensive

income as compensation expense over their vesting period and as interest expense once vested (see also 2.23(b)(ii)).

c) *Long Term Incentive Plan*

The Trust has a Long Term Incentive Plan that awards officers of the Trust with performance units that are linked to the long-term performance of Trust Units relative to the respective market index. Performance units vest over a performance period of three years and are settled for cash based on the market value of Trust Units at the end of the performance period.

At each reporting date, the performance units are measured based on the performance of Trust Units relative to the respective market index, the market value of Trust Units and the total performance units granted including additional units for distributions (see also 2.23(b)(iv)).

d) *Equity Incentive Plan*

The Trust has an Equity Incentive Plan that awards officers and key employees of the Trust with performance units when the daily volume weighted average price ("VWAP") of all Trust Units traded on the TSX for 20 consecutive trading days meets or exceeds certain Unit price thresholds set by the Board. Performance units vest over a performance period of three years and are settled for cash or exchanged for Trust Units based on the 10-day VWAP of Trust Units at the redemption date.

At each reporting date, the performance units are measured based on the performance of Trust Units relative to the Unit price threshold targets, the market value of Trust Units and the total performance units granted including additional units for distributions (see also 2.23(b)(v)).

2.14 **Rentals from investment properties and other**

The Trust's rental from investment properties and other comes from different sources and is accounted for in accordance with IFRS 15, "Revenue from Contracts with Customers" ("IFRS 15") and IFRS 16, "Leases" ("IFRS 16").

a) *Rentals from investment properties*

The Trust's lease agreements may contain both lease and non-lease elements. IFRS 16 requires lessors to allocate consideration in the contracts between lease and non-lease components based on their relative stand-alone prices. Rentals from investment properties accounted for using IFRS 16 (lease components) include rents from tenants under leases, recoveries of property tax and operating costs that do not relate to additional services provided to lessees, percentage participation rents, lease cancellation fees, parking income and some incidental lease-related income. Rents from tenants may include free rent periods and rental increases over the term of the lease and are recognized in revenue on a straight-line basis over the term of the lease. The difference between revenue income recognized and the cash received is included in other assets as straight-line rents receivable. Lease incentives provided to tenants are deferred and amortized against revenue rental income over the term of the lease. Percentage participation rents are recognized after the minimum sales level has been achieved with each lease. Lease cancellation fees are recognized as revenue income once an agreement is completed with the tenant to terminate the lease and the collectibility is probable.

Rentals from investment properties also include certain amounts accounted for under IFRS 15 (non-lease components) where the Trust provides lessees or others with a distinct service. Non-lease components include revenue in a form of recoveries of operating costs where services are provided to tenants (common area maintenance recoveries, chargeback recoveries and administrative recoveries), parking revenue and revenue from other services that are distinct. The respective performance obligations are satisfied as services are rendered and revenue is recognized over time. See also Note 18 for details on amounts related to lease and non-lease components.

Typically, revenue from operating costs recoveries and other services is collected from tenants on a monthly basis and parking revenue is collected at the day when the respective service has been provided. This results in immaterial contract balances as at each reporting date.

b) *Service and other revenues*

The Trust provides asset and property management services to co-owners, partners and third parties for which it earns market-based construction, development and other fees. These fees are recognized over time in accordance with IFRS 15 as the service or activity is performed. Where a contract has multiple deliverables, the Trust identifies the different performance obligations of the contract and recognizes the revenue allocated to each obligation as the respective obligation is met.

The Trust recognizes non-lease component revenue to depict the transfer of goods or services to customers in amounts that reflect the consideration to which the Trust expects to be entitled in exchange for those goods or services. It applies to all contracts with customers, excluding leases, financial instruments and insurance contracts.

2.15 Tenant receivables

Tenant receivables are recognized initially at fair value and subsequently are measured at amortized cost using the effective interest method, less impairment provision. The carrying amount of tenant receivables is reduced through the use of expected credit losses, and a loss is recorded in the consolidated statements of income and comprehensive income within "Property operating costs". The Trust records the expected credit loss to comply with IFRS 9's simplified approach for tenant receivables where its loss allowance is measured at initial recognition and throughout the life of the receivable at an amount equal to lifetime expected credit loss.

2.16 Current and deferred income tax

The Trust is taxed as a mutual fund trust for Canadian income tax purposes. In accordance with the Declaration of Trust, distributions to Unitholders are declared at the discretion of the Trustees. The Trust endeavours to declare distributions in each taxation year in such an amount as is necessary to ensure that the Trust will not be subject to tax on its net income and net capital gains under Part I of the *Income Tax Act* (Canada) ("*Tax Act*").

The Trust qualifies for the REIT Exception under the specified investment flow-through ("SIFT") trust rules for accounting purposes. The Trust considers the tax deductibility of the Trust's distributions to Unitholders to represent, in substance, an exemption from current tax so long as the Trust continues to expect to distribute all of its taxable income and taxable capital gains to its Unitholders. Accordingly, the Trust will not recognize any current tax or deferred income tax assets or liabilities on temporary differences in the Trust's financial statements.

2.17 Distributions

Distributions are recognized as a deduction from retained earnings for the Trust Units and the Limited Partnership Units classified as equity, and as interest expense for the Units classified as liabilities and vested deferred units, in the Trust's consolidated financial statements in the period in which the distributions are approved.

2.18 Operating segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker is the person or group that allocates resources to and assesses the performance of the operating segments of an entity. The Trust has determined that its chief operating decision-maker is the Executive Chairman and Chief Executive Officer.

2.19 Leases

Upon lease commencement where the Trust is the lessee, the Trust records a right-of-use asset at the amount equal to the lease liability. The lease liability is initially measured at the present value of lease payments payable over the lease term, discounted at the Trust's incremental borrowing rate. The lease liability is subsequently measured at amortized cost using the effective interest method.

However, as and when rent changes as a result of lease payments being linked to a rate or index, leased assets and liabilities have to be remeasured. A lease modification is accounted for as a separate lease if:

- the modification increases the scope of the lease by adding the right to use one or more underlying assets; and
- the consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope.

With respect to tenant improvements in connection with the sublease, under IFRS 16, tenant improvements provided by the Trust are not included in the cost of the right-of-use asset. However, when the leased property meets the definition of investment property under IAS 40 (see Note 2.4), the Trust presents tenant improvements that enhance the value of the leased property as an adjustment together with right-of-use assets or incentives resulting in an adjustment to revenue within investment.

2.20 Foreign currency translation

a) Functional currency

The Trust's properties and operations are all within Canada, which is also its primary economic environment. Accordingly, the functional currency of the Trust is determined to be the Canadian dollar.

b) *Foreign currency translation*

The Trust records foreign currency transactions initially at the rate of exchange at the date of the transaction. If the transaction spans over a period of time, the Trust records the foreign currency transaction at the average rate of exchange for the transaction period.

At each reporting date, foreign currency monetary amounts are reported using the closing rate, which is the spot exchange rate at the end of the reporting period.

2.21 *Interest Rate Benchmark Reform*

On January 1, 2021, the Trust adopted amendments to IFRS 9, IAS 39, IFRS 7 and IFRS 16 *Interest Rate Benchmark Reform – Phase 2* as issued in August 2020. For financial instruments measured using amortized cost, changes to the basis for determining the contractual cash flows required by interest rate benchmark reform were reflected by adjusting their effective interest rate. Accordingly, no immediate gain or loss was recognized.

The Trust's exposure to the interest rate benchmark reform as at December 31, 2022 include all variable-rate financial instruments, and are presented in the table below:

As at	December 31, 2022
Financial instruments measured at amortized cost	Balance yet to transition to an alternative benchmark interest rate
Financial assets	
Mortgages receivable	39,456
Loans receivable	140,123
	179,579
Financial liabilities	
Secured debt	31,536
Unsecured debt	1,143,232
Revolving operating facilities	81,283
	1,256,051

2.22 *Critical accounting judgments*

The following are the critical judgments that have been made in applying the Trust's accounting policies and that have the most significant effect on the amounts recorded or disclosed in the consolidated financial statements:

a) *Investment properties*

The Trust's accounting policies relating to investment properties are described in Note 2.4. In applying these policies, judgment is applied in determining whether certain costs are additions to the carrying amount of an investment property and, for properties under development, identifying the point at which substantial completion of the property occurs and identifying the directly attributable borrowing costs to be included in the carrying value of the development property. The Trust applies judgment in determining whether development projects are active and viable, otherwise previously capitalized costs are written off.

The Trust also applies judgment in determining whether the properties it acquires are considered to be asset acquisitions or business combinations. The Trust considers all the properties it has acquired to date to be asset acquisitions. Earnout options, as described in Note 2.13(a), are exercisable upon completion and rental of additional space on acquired properties. Judgment is applied in determining whether Earnout options are considered to be contingent consideration relating to the acquisition of the acquired properties or additional cost of services during the construction period. The Trust considers the Earnout options it has issued to date to represent contingent considerations relating to the acquisitions. The valuation of the investment properties is the main area of judgment exercised by the Trust. Investment properties are stated at fair value. Gains and losses arising from changes in the fair values are recognized in fair value adjustment on revaluation of investment properties in the consolidated statements of income and comprehensive income in the period in which they arise.

Management internally values the entire portfolio of investment properties, taking into account available external data. In addition, the Trust endeavours to obtain external valuations of approximately 15%–20% (by value) of the portfolio annually carried out by professionally qualified valuers in accordance with the Appraisal and Valuation Standards of the Royal Institute of Chartered Surveyors. Properties are rotated annually to ensure that approximately 50% (by value) of the portfolio is appraised externally over a three-year period. Judgment is applied in determining the extent and frequency of independent appraisals.

b) *Investment in associates*

The Trust's policy for its investment in associates is described in Note 2.3. For those investment in associates disclosed in Note 5, "Equity accounted investments", management has assessed the level of influence that the Trust has over those investment in associates and determined that it has significant influence based on its decision-making authority with regards to the operating, financing and investing activities as specified in the contractual terms of the arrangement. Consequently, those investments have been classified as investment in associates.

c) *Joint arrangements*

The Trust's policy for its joint arrangements is described in Note 2.2. In applying this policy, the Trust makes judgments with respect to whether the Trust has joint control and whether the arrangements are joint operations or joint ventures.

d) *Intangible assets*

The Trust's policy for intangible assets is described in Note 2.7. In applying this policy, the Trust makes judgments with respect to the amortization period relating to the joint venture relationships and trademarks that have finite useful lives, while also reviewing for impairment when an indication of impairment exists. In addition, on an annual basis or more frequently if there are any indications of impairment, the Trust evaluates whether goodwill may be impaired by determining whether the recoverable amount is less than the carrying amount for the smallest identified cash-generating unit.

e) *Classifications of Units as liabilities and equity*

The Trust's accounting policies relating to the classification of Units as liabilities and equity are described in Note 2.10. The critical judgments inherent in these policies relate to applying the criteria set out in IAS 32, "Financial Instruments Presentation", relating to the Puttable Instrument Exemption.

f) *Income taxes*

The Trust is taxed as a mutual fund trust for Canadian income tax purposes and qualifies for the REIT Exemption under the SIFT rules for tax purposes. The Trust endeavours to declare distributions in each taxation year in such an amount as is necessary to ensure that the Trust will not be subject to tax on its net income and net capital gains under Part I of the *Income Tax Act* (Canada) ("*Tax Act*").

The Trust qualifies for the REIT Exemption under the specified investment flow-through (SIFT) trust rules for accounting purposes. The Trust considers the tax deductibility of the Trust's distributions to Unitholders to represent, in substance, an exemption from current tax so long as the Trust continues to expect to distribute all of its taxable income and taxable capital gains to its Unitholders. Accordingly, the Trust will not recognize any current tax or deferred income tax assets or liabilities on temporary differences in the Trust's financial statements.

2.23 **Critical accounting estimates and assumptions**

The preparation of the consolidated financial statements in conformity with IFRS requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results may differ from these estimates.

The estimates and assumptions that are critical to the determination of the amounts reported in the consolidated financial statements relate to the following:

a) *Fair value of investment properties*

The fair value of investment properties is dependent on: i) projected future cash flows for income properties and properties under development, and ii) land, development and construction costs for properties under development, and discount rates applicable to those assets. The projected cash flows for each property are based on the location, type and quality of the property and supported by the terms of any existing leases, other contracts or external evidence such as current market rents for similar properties, and adjusted for estimated vacancy rates and estimated maintenance costs. Capitalization and discount rates are based on the location, size and condition of the properties and take into account market data at the valuation date. These assumptions may not ultimately be achieved.

The critical estimates and assumptions underlying the valuation of investment properties are set out in Note 4 "Investment properties".

b) *Fair value of financial instruments*

i) *Unit options issued to non-employees on acquisitions (the "Earnout options")*

The Earnout options are considered to be contingent consideration with respect to the acquisitions they relate to, and are initially recognized at their fair value. The Earnout options are subsequently carried at fair value with changes in fair value recognized in the consolidated statements of income and comprehensive income. The fair value of Earnout options is determined using the Black-Scholes option-pricing model using certain observable inputs with respect to the volatility of the underlying Trust Unit price, the risk-free rate and using unobservable inputs with respect to the anticipated expected lives of the options, the number of options that will ultimately vest and the expected Trust Unit distribution rate. Generally, increases in the anticipated lives of the options, decreases in the number of options that will ultimately vest, and decreases in the expected Trust Unit distribution rate will combine to result in a lower fair value of Earnout options.

ii) *Deferred unit plan*

The deferred units are measured at fair value using the market price of the Trust Units on each reporting date with changes in fair value recognized in the consolidated statements of income and comprehensive income as additional compensation expense over their vesting period and as a gain or loss on financial instruments once vested. The additional deferred units are recorded in the consolidated statements of income and comprehensive income as compensation expense over their vesting period and as interest expense once vested.

iii) *Units classified as liabilities*

Units classified as liabilities are measured at each reporting period and approximate the fair value of Trust Units, with changes in value recorded directly in earnings through unrealized fair value adjustments. The distributions on such Units are classified as interest expense in the consolidated statement of income and comprehensive income. The Trust considers distributions on such Units classified as interest expense to be a financing activity in the consolidated statement of cash flows.

iv) *Long Term Incentive Plan*

The fair value of the LTIP is based on the Monte Carlo simulation pricing model, which incorporates: (i) the long-term performance of the Trust relative to the S&P/TSX Capped REIT Index for each performance period, (ii) the market value of Trust Units at each reporting date, and (iii) the total granted LTIP units under the plan including LTIP units that are reinvested. Any adjustments made to the accrued value of the LTIP are recorded in earnings.

v) *Equity Incentive Plan*

The fair value of the EIP is based on the Monte Carlo simulation pricing model, which incorporates: (i) the performance of the Trust relative to the Unit price thresholds for the performance period, (ii) the 10-day VWAP of Trust Units at each reporting date, and (iii) the total granted performance units under the EIP including performance units that are reinvested. Any adjustments made to the accrued value of the EIP are recorded in earnings.

2.24 Reclassification of comparative figures

The comparative figures relating to "Deferred financing costs", in the amount of \$1,269, have been grouped to "Prepaid expenses and deposits" (see also Note 11, "Amounts receivable and other, prepaid expenses, deposits and deferred financing costs") to conform with the current period presentation.

The comparative figures relating to "Earnings from other", in the amount of \$38, have been grouped to "Rentals from investment properties and other" (see also Note 18, "Rentals from investment properties and other") to conform with the current period presentation.

2.25 ***Future changes in accounting policies***

The Trust monitors the potential changes proposed by the IASB and analyzes the effect that changes in the standards may have on the Trust's operations.

Standards issued but not yet effective up to the date of issuance of the consolidated financial statements for the year ended December 31, 2022 are described below. This description is of the standards and interpretations issued that the Trust reasonably expects to be applicable at a future date. The Trust intends to adopt these standards when they become effective.

Amendments to IAS 1, Presentation of Financial Statements – Classification of Liabilities as Current or Non-Current

In January 2020, the IASB issued amendments to IAS 1 to clarify the requirements for classifying liabilities as current or non-current. The amendments clarify the classification of liabilities as current or non-current based on rights that are in existence at the end of the reporting period and unaffected by the likelihood that an entity will exercise its right to defer settlement of the liability for at least 12 months after the reporting period. The amendments also clarify the definition of "settlement" of a liability. In October 2022, revised amendments in respect of non-current liabilities with covenants were issued. Both amendments are effective on January 1, 2024 and should be applied retrospectively. Earlier application is permitted. Management is currently assessing the impact of the amendments on the Trust's financial statements.

Amendments to IAS 8, Definition of Accounting Estimates

In February 2021, the IASB issued amendments to IAS 8, in which it introduces the definition of "accounting estimates". The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. The amendments also clarify that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates unless they result from the correction of prior period errors. The amendments are effective January 1, 2023, with early adoption permitted. Management is currently assessing the impact of the amendments on the Trust's financial statements.

Introduction of IFRS 17, Insurance contracts

In May 2017, the IASB issued the new IFRS 17 standard to replace IFRS 4. IFRS 17, Insurance contracts is a new standard that sets out principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The objective of IFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of financial statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows. The new standard is effective on January 1, 2023 and should be applied retrospectively. Earlier application is permitted. Management is currently assessing the impact of the new standard on the Trust's financial statements.

3. Acquisitions and Earnouts

Acquisitions and Earnouts completed during the year ended December 31, 2022

- a. In January 2022, the Trust acquired, from its unrelated partner, a 50% interest in each of three co-owned properties located in Ottawa (Laurentian), Ontario, Edmonton Capilano, Alberta, and Lachenaie, Quebec, for a total purchase price of \$100,000 and adjusted for costs of acquisition and other working capital amounts, which was paid in cash and funded from the Trust's existing operating facilities. Upon completion of the acquisition, the Trust became the 100% owner of these properties.
- b. In January 2022, the Trust acquired a 25% interest in parcels of land from its unrelated partner located in Mirabel, Quebec, for a purchase price of \$2,609, paid in cash and adjusted for costs of acquisition. Upon completion of the acquisition, the Trust's interest in these parcels of land increased to 50%.
- c. In June 2022, the Trust acquired a parcel of land in Pickering, Ontario, for investment property development for gross proceeds of \$16,635, paid in cash and adjusted for costs of acquisition and other working capital amounts.
- d. During the year ended December 31, 2022, pursuant to development management agreements referred to in Note 4, "Investment properties" (see also Note 22, "Related party transactions"), the Trust completed the purchase of Earnout transactions on 7,114 square feet of retail space and three land parcels. The purchase price was \$1,661 for retail space and \$7,549 for land parcels, of which \$315 was satisfied through the issuance of 11,198 Class B Series 5 Smart LP III Units, \$964 was satisfied through the issuance of 18,655 Class B Series 1 Smart LP IV Units and 12,419 Class B Series 6 Smart LP III Units (see also Note 13(b) and Note 16, "Unit equity"), and the balance was paid in cash, adjusted for other working capital amounts.

The following table summarizes the consideration for Acquisitions and Earnouts completed for the year ended December 31, 2022:

	Note	Acquisitions	Earnouts	Total
Cash		120,201	8,188	128,389
LP Units issued	4(d)(ii)	—	1,279	1,279
Adjustments for other working capital amounts		2,013	(257)	1,756
		122,214	9,210	131,424

Acquisitions and Earnouts completed during the year ended December 31, 2021

- a. In February 2021, the Trust acquired a parcel of land totalling 7.6 acres in Aurora, Ontario for a purchase price of \$12,237, paid in cash and adjusted for costs of acquisition and other working capital amounts.
- b. In April and June 2021, the Trust acquired two parcels of residential land in Hamilton, Ontario, for a total purchase price of \$1,085, paid in cash and adjusted for costs of acquisition and other working capital amounts.
- c. In December 2021, the Trust acquired a 50.0% interest in a parcel of land for retail development in Toronto (Leaside), Ontario, for a total purchase price of \$12,750, paid in cash and adjusted for costs of acquisition and other working capital amounts. The remaining 50.0% interest is held by Penguin.
- d. In December 2021, the Trust acquired a 66.67% interest in a parcel of land adjacent to the Vaughan Metropolitan Centre in Vaughan, Ontario, from unrelated parties for a purchase price of \$494,312. The purchase price of this parcel of land ("SmartVMC West") was satisfied by: i) \$300,000 of cash, ii) \$181,236 through the issuance of 3,623,188 Class D Series 1 LP Units and 2,173,913 Class D Series 2 LP Units of SmartVMC West Limited Partnership, and iii) \$13,076 through the assumption of mortgages. The Trust's ownership interest in SmartVMC West represents 66.67%, while the remaining 33.33% interest is held by Penguin.
- e. During the year ended December 31, 2021, pursuant to development management agreements referred to in Note 4, "Investment properties" (see also Note 22, "Related party transactions"), the Trust completed the purchase of:
 - i) An Earnout transaction on a parcel of land totalling 13.2 acres located in Niagara Falls, Ontario. The purchase price was \$1,415, of which \$466 was satisfied through the issuance of 19,954 Class B Series 6 Smart LP III Units (see also Note 13(b)) and the balance was paid in cash, adjusted for other working capital amounts. This parcel of land was subsequently disposed of (see also, Note 4, "Investment properties").
 - ii) Earnout transactions totalling 24,619 square feet of development space with a purchase price of \$8,925, of which \$1,042 was satisfied through the issuance of 12,569 Class B Smart LP III Units and 26,317 Class B Smart LP IV Units (see also Note 13(b)) and the balance paid in cash, adjusted for other working capital amounts (see also, Note 4(d)(ii)).
 - iii) An Earnout transaction on 23,012 square feet of retail space in Stouffville, Ontario. The purchase price was \$5,934, of which \$229 was satisfied through the issuance of 7,763 Class B Series 2 Smart LP Units (see also Note 13(b)) and the balance was paid in cash, adjusted for development costs funded by the Trust and other amounts.

The following table summarizes the consideration for Acquisitions and Earnouts completed for the year ended December 31, 2022:

	Note	Acquisitions - SmartVMC West	Acquisitions - other	Total Acquisitions	Earnouts	Total Acquisitions and Earnouts
Cash		300,000	26,611	326,611	2,154	328,765
LP Units issued	4(d)(ii)	181,236	—	181,236	1,738	182,974
Mortgages assumed		13,076	—	13,076	—	13,076
Adjustments for other working capital amounts		(76)	9	(67)	12,382	12,315
		494,236	26,620	520,856	16,274	537,130

See also Note 5, "Equity accounted investments", for additional details on acquisitions reflected in equity accounted investments.

4. Investment properties

The following table summarizes the activities in investment properties:

	Note	Year Ended December 31, 2022			Year Ended December 31, 2021		
		Income Properties	Properties Under Development	Total	Income Properties	Properties Under Development	Total
Balance – beginning of year		8,395,077	1,452,001	9,847,078	8,267,430	582,960	8,850,390
Additions (deductions):							
Acquisitions, Earnouts and related adjustments of investment properties		101,993	28,679	130,672	22,015	499,700	521,715
Earnout Fees on properties subject to development management agreements	4(d)(ii)	1,401	—	1,401	2,397	—	2,397
Transfer to income properties from properties under development		39,707	(39,707)	—	40,555	(40,555)	—
Transfer from income properties to properties under development		(7,887)	7,887	—	(2,400)	2,400	—
Transfer from properties under development to equity accounted investments		—	(25,000)	(25,000)	—	(6,850)	(6,850)
Capital expenditures		19,912	—	19,912	17,472	—	17,472
Deferred leasing costs		1,589	—	1,589	3,057	—	3,057
Development expenditures		—	79,373	79,373	—	53,186	53,186
Capitalized interest		—	35,036	35,036	—	14,333	14,333
Dispositions		(777)	(40,726)	(41,503)	(62,865)	(37,285)	(100,150)
Fair value adjustment on revaluation of investment properties	26	(54,122)	255,956	201,834	107,416	384,112	491,528
Balance – end of year		8,496,893	1,753,499	10,250,392	8,395,077	1,452,001	9,847,078
Investment properties		8,496,893	1,711,178	10,208,071	8,395,077	1,452,001	9,847,078
Investment properties classified as held for sale	4(e)	—	42,321	42,321	—	—	—
		8,496,893	1,753,499	10,250,392	8,395,077	1,452,001	9,847,078

The historical costs of both income properties and properties under development as at December 31, 2022 totalled \$6,765,293 and \$1,338,313, respectively (December 31, 2021 – \$6,603,696 and \$1,273,350, respectively).

Secured debt with a carrying value of \$969,054 (December 31, 2021 – \$1,294,546) is secured by investment properties with a fair value of \$2,807,896 (December 31, 2021 – \$3,206,478).

Presented separately from investment properties is \$78,820 (December 31, 2021 – \$76,042) of net straight-line rents receivable and tenant incentives (these amounts are included in Note 7, “Other assets”) arising from the recognition of rental revenues on a straight-line basis and amortization of tenant incentives over the respective lease terms. The fair value of investment properties has been reduced by these amounts.

a) Valuation methods underlying management’s estimation of fair value

i) Income properties

The Trust applies the discounted cash flow valuation method to estimate the value of income properties, which include: freehold properties, properties with leasehold interests with purchase options, and properties with leasehold interests without purchase options. The Trust applies this valuation method as it believes that the discounted cash flow valuation method represents the Trust’s estimate of fair values of income properties based on expectations of changes in rental rates, occupancy rates, lease renewal rates, leasing costs, expected credit losses and downtime on lease expiries, among others.

Using the discounted cash flow valuation method, the fair value of income properties is estimated based on assumptions of the asset’s benefits and liabilities over its life, over an average period of 10 years in addition to its terminal value. The 10 years of annual net cash flows and the terminal cash flows are projected for each property, and then a discount rate is applied to each of these cash flows to establish the present value of future cash flows for each property. Annual net cash flows are estimated as rental revenue, less operating expenses, a vacancy allowance and other adjustments. The terminal value is estimated based on the application of a terminal capitalization rate to each property’s stabilized net operating income (“NOI”). The sum of the present value of future cash flows, including its discounted terminal value, represents the estimated fair value of each property.

The significant areas of estimation uncertainty in determining the fair value of income properties include the projected cash flows and the discount rate for each property. The projected cash flows for each property are based on expected inflows and outflows, and are based on the location, type and quality of the property and supported by the terms of any existing leases, other contracts or external evidence such as current market rents for similar properties, and adjusted for estimated vacancy rates based on current and expected future market conditions after expiry of any current leases and expected maintenance costs. The discount rate for each property is based on the location, size and quality of the property, taking into account market data at the valuation date.

ii) Properties under development

Properties under development are valued using two primary methods: i) discounted cash flow method, factoring in future cash inflows and outflows such as construction costs to complete development, leasing costs and other fees, and Earnout Fees, if any; or ii) land, development and construction costs are recorded at market value, factoring in development risks such as planning, zoning, timing and market conditions.

Using the discounted cash flow valuation method, the fair value of properties under development is estimated based on assumptions of the asset's benefits and liabilities over its life, over an average period of 10 years in addition to its terminal value. The 10 years of annual net cash flows and the terminal cash flows are projected for each property, and then a discount rate is applied to each of these cash flows to establish the present value of future cash flows for each property. Annual net cash flows are estimated as rental revenue, less operating expenses, construction costs, a vacancy allowance and other adjustments. The terminal value is estimated based on the application of a terminal capitalization rate to each property's stabilized NOI. The sum of the present value of future cash flows, including its discounted terminal value, represents the estimated fair value of each property.

The following table summarizes significant assumptions in Level 3 valuations along with corresponding fair values for investment properties:

December 31, 2022					
Valuation Method	Carrying Value	Terminal Capitalization Rate		Discount Rate	
		Weighted Average (%)	Range (%)	Weighted Average (%)	Range (%)
Income properties					
Discounted cash flow	8,496,893	5.92	4.18 – 7.53	6.43	4.58 – 8.03
Properties under development					
Land, development and construction costs recorded at market value	1,627,880	N/A	N/A	N/A	N/A
Discounted cash flow	125,619	6.06	5.53 – 7.40	6.66	6.03 – 7.90
	1,753,499				
Total	10,250,392				
December 31, 2021					
Valuation Method	Carrying Value	Terminal Capitalization Rate		Discount Rate	
		Weighted Average (%)	Range (%)	Weighted Average (%)	Range (%)
Income properties					
Discounted cash flow	8,395,077	5.83	4.18 – 7.43	6.34	4.58 – 7.93
Properties under development					
Land, development and construction costs recorded at market value	1,324,263	N/A	N/A	N/A	N/A
Discounted cash flow	127,738	5.92	4.89 – 7.30	6.53	5.64 – 7.80
	1,452,001				
	9,847,078				

The estimates of fair value are most sensitive to changes in the discount rates and forecasted future cash flows for each property. The sensitivity analysis in the table below indicates the approximate impact on the fair values of the Trust's investment property portfolio resulting from changes in discount rates and in assuming no changes in other assumptions.

Income properties						
Rate Sensitivity (%)	(1.00)	(0.50)	(0.25)	+0.25	+0.50	+1.00
Increase (decrease) in fair value of income properties due to:						
Changes in discount rates	1,821,700	823,500	392,800	(359,600)	(690,700)	(1,278,500)
Forecasted Future Cash Flows Sensitivity (%)	(10.00)	(5.00)	(2.50)	+2.50	+5.00	+10.00
Increase (decrease) in fair value of income properties due to:						
Changes in forecasted future cash flows	(849,300)	(424,200)	(211,800)	212,700	423,900	849,200
Properties under development						
Rate Sensitivity (%)	(1.00)	(0.50)	(0.25)	+0.25	+0.50	+1.00
Increase (decrease) in fair value of properties under development due to:						
Changes in discount rates	28,600	13,000	6,200	(5,900)	(11,000)	(20,600)
Forecasted Future Cash Flows Sensitivity (%)	(10.00)	(5.00)	(2.50)	+2.50	+5.00	+10.00
Increase (decrease) in fair value of properties under development due to:						
Changes in forecasted future cash flows	(12,500)	(6,200)	(3,200)	3,000	6,100	12,100

b) Dispositions

Disposition of investment properties during the year ended December 31, 2022

In January 2022, the Trust sold its 40% interest in a parcel of land totalling 1.39 acres located in Markham, Ontario, for gross proceeds of \$800 to a joint venture, Boxgrove Self Storage Limited Partnership, for development of a self-storage facility (see also, Note 5(b)).

In March 2022, the Trust sold a parcel of land totalling 4.62 acres located in Laval East, Quebec, for gross proceeds of \$5,600, which was satisfied by cash.

In April 2022, the Trust sold a parcel of land totalling 6.48 acres located in Stouffville, Ontario, for gross proceeds of \$18,365, which was satisfied by cash.

In September 2022, the Trust sold a parcel of land totalling 6.86 acres located in London, Ontario, for gross proceeds of \$15,180, which was satisfied by cash.

In December 2022, the Trust contributed its interest in a parcel of land totalling 2.31 acres located in Vaughan, Ontario, for a value of \$25,000 to a joint venture, Vaughan NW RR PropCo LP, for development of a retirement residence (see also, Note 5(b)).

Disposition of investment properties during the year ended December 31, 2021

In January 2021, the Trust sold a parcel of land totalling 13.2 acres located in Niagara Falls, Ontario, for gross proceeds of \$4,725, of which \$1,415 was paid in cash and the balance was granted as an interest-bearing loan to the purchaser. See also Note 3, "Acquisitions and Earnouts" and Note 6, "Mortgages, loans and notes receivable".

In February 2021, the Trust contributed its interest in a parcel of land totalling 1.5 acres located in Brampton, Ontario, for a value of \$3,250 to a joint venture, Kingspoint Self Storage LP, for development of a self-storage facility (see also, Note 5(b)).

In March 2021, the Trust sold a parcel of land totalling 2.4 acres located in Mascouche, Quebec, for gross proceeds of \$3,068, which was satisfied by cash.

In March 2021, the Trust contributed its interest in a parcel of land totalling 2.7 acres located in Mascouche, Quebec for a value of \$3,600 to a joint venture, Mascouche North Apartments Limited Partnership, for development of a rental apartment complex (see also, Note 5(b)).

In September 2021, the Trust sold a parcel of land totalling 1.4 acres located in Stouffville, Ontario, for gross proceeds of \$2,715, which was satisfied by cash.

In October 2021, the Trust, together with its 50% partner Penguin, sold a parcel of land totalling 78.4 acres (39.2 acres at the Trust's share) located in Innisfil, Ontario, for gross proceeds of \$21,572 (at the Trust's share), which was satisfied by a

vendor take-back mortgage bearing interest at 4% per annum, with a term of two years, in the amount of \$15,097 (at the Trust's share, see also Note 6(b), footnote 11), with the balance paid in cash adjusted for other working capital amounts.

In December 2021, the Trust sold a property, consisting of an investment property and a property under development, located in Maple Ridge, British Columbia, for gross proceeds of \$67,500, which was satisfied by cash, adjusted for transaction costs and other working capital amounts.

c) Leasehold property interests

At December 31, 2022, 16 (December 31, 2021 – 16) investment properties with a fair value of \$964,916 (December 31, 2021 – \$977,376) are leasehold property interests accounted for as leases.

i) Leasehold property interests without bargain purchase options

The Trust previously prepaid its entire lease obligations for the 14 leasehold interests with Penguin (see also Note 22, "Related party transactions") in the amount of \$889,931 (December 31, 2021 – \$889,931), including prepaid land rent of \$229,846 (December 31, 2021 – \$229,846).

ii) Leasehold property interests with bargain purchase options

One leasehold interest commenced in 2003 under the terms of a 35-year lease with Penguin (see also Note 22, "Related party transactions"). The lease requires a \$10,000 payment at the end of the lease term in 2038 to exercise a purchase option, which is considered to be a bargain purchase option. The Trust prepaid its entire lease obligation for this property of \$57,997 (December 31, 2021 – \$57,997). As the Trust expects to exercise the purchase option in 2038, the purchase option price has been included in accounts payable in the amount of \$2,350 (December 31, 2021 – \$2,145), net of imputed interest at 9.18% of \$7,650 (December 31, 2021 – \$7,855) (see also Note 14, "Accounts and other payables").

A second leasehold interest was acquired on February 11, 2015 and includes a land lease that expires on September 1, 2054. The land lease requires monthly payments ranging from \$450 to \$600 annually until September 1, 2054, and a \$6,000 payment between September 1, 2023 and September 1, 2025 to exercise a purchase option that is considered to be a bargain purchase option. As the Trust expects to exercise the purchase option on September 1, 2023, the purchase option price and the monthly payments up to September 1, 2023 have been included in accounts payable in the amount of \$6,061 (December 31, 2021 – \$6,138), net of imputed interest at 6.25% of \$314 (December 31, 2021 – \$649) (see also Note 14, "Accounts and other payables").

d) Properties under development

The following table presents properties under development:

As at	December 31, 2022	December 31, 2021
Properties under development not subject to development management agreements i)	1,698,652	1,391,301
Properties under development subject to development management agreements ii)	54,847	60,700
	1,753,499	1,452,001
Less: properties under development classified as held for sale	42,321	—
	1,711,178	1,452,001

For the year ended December 31, 2022, the Trust capitalized a total of \$35,036 (year ended December 31, 2021 – \$14,333) of borrowing costs related to properties under development.

i) Properties under development not subject to development management agreements

During the year ended December 31, 2022, the Trust completed the development and leasing of certain properties under development not subject to development management agreements, for which the value of land and development costs incurred has been reclassified from properties under development to income properties.

For the year ended December 31, 2022, the Trust incurred land and development costs of \$39,893 (year ended December 31, 2021 – \$26,328).

ii) Properties under development subject to development management agreements (Earnout agreements)

These properties under development (including certain leasehold property interests) are subject to various development management agreements with Penguin and Walmart.

In certain events, the developer/vendor may sell a portion of undeveloped land to accommodate the construction plan that provides the best use of the property, reimbursing the Trust its costs related to such portion, and provides a profit based on a pre-negotiated formula. Pursuant to the development management agreements, the developers/vendors assume responsibility for managing the development of the land on behalf of the Trust and are granted the

right for a period of up to 10 years to earn an Earnout Fee (subject to options and extensions in certain circumstances). On completion and rental of additional space on these properties, the Trust is obligated to pay the Earnout Fee and any additional development costs not previously incurred by the Trust, at a total price calculated by a formula using the net operating rents and predetermined negotiated capitalization rates, on the date rent becomes payable on the additional space ("Gross Cost"). The Earnout Fee is calculated as the Gross Cost less the associated land and development costs incurred by the Trust.

For certain of these properties under development, Penguin and others have been granted Earnout options that give them the right, at their option, to invest up to 40% of the Earnout Fee for one of the agreements and up to 30% to 40% of the Gross Cost for the remaining agreements in Trust Units, Class B, D and F Smart LP Units, Class B and D Smart LP III Units, Class B Smart LP IV Units, Class B and D Smart Oshawa South LP Units, Class B and D Smart Oshawa Taunton LP Units, Class B Smart Boxgrove LP Units and Class B ONR LP I Units at predetermined option strike prices subject to a maximum number of Units. On December 9, 2020, the Trust entered into an Omnibus Agreement with Mitchell Goldhar that provided a right to extend the terms of certain Earnout agreements for an additional two years. As a result, the Earnout agreements for Earnout options that were originally set to expire between 2020 to 2025 may be extended to 2022 to 2027. See also Note 13, "Other financial liabilities".

The following table summarizes the Earnout options that were elected to exercise which resulted in proceeds (see also Note 13(b)):

Unit Type	Class and Series	Year Ended December 31	
		2022	2021
Smart Limited Partnership	Class B Series 2	—	229
Smart Limited Partnership III	Class B Series 4	—	34
Smart Limited Partnership III	Class B Series 5	315	—
Smart Limited Partnership III	Class B Series 6	392	780
Smart Limited Partnership IV	Class B Series 1	572	695
		1,279	1,738

The following table summarizes the development costs incurred (exclusive of the cost of land previously acquired) and Earnout Fees paid to vendors relating to the completed retail spaces (see also Note 3, "Acquisitions and Earnouts") that have been reclassified to income properties:

	Year Ended December 31	
	2022	2021
Development costs incurred	8,582	12,902
Earnout Fees paid	1,401	2,397
	9,983	15,299

e) Investment properties classified as held for sale

As at December 31, 2022, land parcels classified as held for sale had a carrying value of \$42,321. Subsequent to December 31, 2022, the Trust disposed of the land parcels classified as held for sale (see also Note 29, "Subsequent events").

5. Equity accounted investments

The following table summarizes key components relating to the Trust's equity accounted investments:

	Year Ended December 31, 2022			Year Ended December 31, 2021		
	Investment in Associates	Investment in Joint Ventures	Total	Investment in Associates	Investment in Joint Ventures	Total
Investment – beginning of year	489,230	165,212	654,442	354,992	108,212	463,204
Operating Activities:						
Earnings (losses)	4,932	(733)	4,199	183,431	27,989	211,420
Distributions – VMC Residences condominium unit closings ⁽¹⁾	(24,322)	—	(24,322)	(52,824)	—	(52,824)
Distributions – operating activities	(4,550)	(234)	(4,784)	(3,358)	(714)	(4,072)
Financing Activities:						
Fair value adjustment on loan	3,690	—	3,690	3,995	—	3,995
Investing Activities:						
Cash contribution	23,154	32,982	56,136	6,355	29,589	35,944
Property contribution	—	25,000	25,000	—	6,850	6,850
Development distributions	(33,362)	—	(33,362)	(3,361)	(6,714)	(10,075)
Investment – end of year	458,772	222,227	680,999	489,230	165,212	654,442

(1) During the year ended December 31, 2022, the distribution in the amount of \$24,322 was satisfied by a non-cash settlement of the Residence III LP loan payable (for the year ended December 31, 2021 – the distribution in the amount of \$52,824 was satisfied by a non-cash settlement of the Residence III LP loan payable) (see Note 12(b)(iv)).

a) Investment in associates

The following table summarizes the Trust's ownership interest in investment in associates as reflected in the Trust's consolidated financial statements:

			Ownership Interest (%), As at	
Business Focus	Partner(s)	Principal Intended Activity	December 31, 2022	December 31, 2021
Mixed-use real estate development				
Penguin-Calloway Vaughan Partnership ("PCVP")	Penguin ⁽¹⁾	Own, develop and operate investment properties in the SmartVMC (Eastern 52.0 acres)	50.0	50.0
Residential condominium developments				
VMC Residences Limited Partnership ("Residences LP")	Penguin ⁽¹⁾ , CentreCourt	Own, develop and sell two residential condominium towers and 22 townhomes (Transit City 1 and 2) at SmartVMC	25.0	25.0
Residences III LP	Penguin ⁽¹⁾ , CentreCourt	Own, develop and sell a residential condominium tower (Transit City 3) at SmartVMC	25.0	25.0
East Block Residences LP	Penguin ⁽¹⁾ , CentreCourt	Own, develop and sell two residential condominium towers (Transit City 4 and 5) at SmartVMC	25.0	25.0
Residences (One) LP	Penguin ⁽¹⁾	Own, develop and sell residential condominium towers (ArtWalk)	50.0	50.0
Residences (Two) LP	Penguin ⁽¹⁾	Own, develop and sell residential condominium towers (Park Place)	66.7	—

(1) See also Note 22, "Related party transactions".

In December 2019, the Trust acquired, as part of a 50:50 joint arrangement with Penguin, through PCVP, a 50% interest in a parcel of land ("700 Applewood") with approximately 15.5 acres in Vaughan, Ontario, proximate to SmartVMC to relocate Walmart from SmartVMC and for other future development, for a purchase price of \$109,218 paid in cash, adjusted for other working capital amounts. In connection with this acquisition, an interest-free loan with a principal amount of \$81,448 and a maturity of December 2029 was extended to Penguin to finance its interest in PCVP's acquisition of 700 Applewood. In March 2020, the Trust assumed this loan receivable from Penguin (see also Note 6(b), footnote 3), along with an offsetting non-interest-bearing note payable of an equal amount (see Note 12(b)(iv), footnote 2).

Note that the limited partnerships involved in residential condominium developments, as noted in the above table: Residences LP, Residences III LP, East Block Residences LP, Residences (One) LP, and Residences (Two) LP are herein collectively referred to as "VMC Residences".

i) Summary of balance sheets

The following table summarizes the balance sheets for investment in associates:

As at	December 31, 2022			December 31, 2021		
	PCVP	VMC Residences	Total	PCVP	VMC Residences	Total
Non-current assets	1,333,107	—	1,333,107	1,322,717	—	1,322,717
Current assets ⁽¹⁾	47,854	471,995	519,849	19,284	373,691	392,975
Total assets	1,380,961	471,995	1,852,956	1,342,001	373,691	1,715,692
Non-current liabilities ⁽²⁾	416,283	—	416,283	327,443	81,203	408,646
Current liabilities	113,075	385,011	498,086	111,782	157,729	269,511
Total liabilities	529,358	385,011	914,369	439,225	238,932	678,157
Net assets	851,603	86,984	938,587	902,776	134,759	1,037,535
Trust's share of net assets before adjustments	425,802	31,565	457,367	451,387	34,135	485,522
Fair value adjustment on loan	1,003	402	1,405	1,216	2,492	3,708
Trust's share of net assets	426,805	31,967	458,772	452,603	36,627	489,230

(1) Balance as at December 31, 2022 includes investment properties classified as held for sale of \$32,100, of which the Trust's share is \$16,050 (December 31, 2021 – \$nil).

(2) Balance as at December 31, 2022 includes loan payable to the Trust of \$48,532 (December 31, 2021 – \$47,214), see also Note 6(b).

The investment in associates listed above have entered into various development construction contracts with existing commitments totalling \$76,607, of which the Trust's share is \$29,151 (December 31, 2021 – \$216,635, of which the Trust's share is \$76,087).

ii) Summary of earnings

The following table summarizes the earnings for investment in associates for:

	Year Ended December 31, 2022			Year Ended December 31, 2021		
	PCVP	VMC Residences	Total	PCVP	VMC Residences	Total
Revenue						
Rental revenue ⁽¹⁾	33,122	—	33,122	28,919	—	28,919
Residential sales revenue	—	17,415	17,415	—	297,299	297,299
Operating expense						
Rental operating costs	(14,749)	—	(14,749)	(12,421)	—	(12,421)
Residential cost of sales	—	(13,719)	(13,719)	—	(224,576)	(224,576)
Revenue net of operating expense	18,373	3,696	22,069	16,498	72,723	89,221
Fair value adjustment on revaluation of investment properties	2,060	—	2,060	321,146	—	321,146
Interest (expense) income	(7,563)	160	(7,403)	(6,619)	254	(6,365)
Loss on sale of investment properties	(482)	—	(482)	—	—	—
Earnings	12,388	3,856	16,244	331,025	72,977	404,002
Trust's share of earnings before supplemental cost and additional profit sharing	6,194	969	7,163	165,513	18,243	183,756
Additional Trust's share of earnings ⁽²⁾	—	—	—	—	2,522	2,522
Supplemental cost	(2,231)	—	(2,231)	(2,618)	—	(2,618)
Trust's share of earnings	3,963	969	4,932	162,895	20,765	183,660

(1) Includes office rental revenue from the Trust in the amount of \$2,720 for the year ended December 31, 2022 (year ended December 31, 2021 – \$2,625).

(2) Additional profit allocated to the Trust for Transit City condominium closings pursuant to the development agreement and limited partnership agreement.

In accordance with the VMC Supplemental Development Fee Agreement, the Trust invoiced PCVP a net amount of \$4,462 related to associated development fees for the year ended December 31, 2022 (year ended December 31, 2021 – \$5,237).

iii) Summary of development credit facilities

The development financing relating to PCVP and VMC Residences comprise pre-development, construction and letters of credit facilities. With respect to the development credit facilities relating to PCVP, the obligations are joint and several

to each of the PCVP limited partners; however, by virtue of an indemnity agreement between the PCVP limited partners, the obligations are effectively several. From time to time, the original facility amounts are reduced through repayments and through amended agreements with the financial institutions from which the facilities were obtained. PCVP and VMC Residences had the following credit facilities available:

As at	December 31, 2022		December 31, 2021	
(in thousands of dollars)	Maturity in	Annual Interest Rate (%) ⁽¹⁾	Facility Amount	Facility Amount
PCVP				
Development credit facility	February 2023	BA + 1.35	15,876	15,876
Construction credit facility	June 2027	BA + 1.20	400,000	386,766
Letters of credit facility ⁽²⁾	May 2023	N/A	60,000	60,000
			475,876	462,642
VMC Residences				
Development credit facility	April 2022	BA + 1.75	—	11,656
Development credit facility	September 2023	BA + 1.60	279,264	279,264
			279,264	290,920
Development facilities – end of year			755,140	753,562
Amount drawn on development credit facilities			(515,287)	(317,105)
Letters of credit – outstanding			(63,083)	(42,832)
Remaining unused development credit facilities			176,770	393,625
Trust's share of remaining unused development credit facilities			67,634	146,742

(1) Annual interest rate is a function of Canadian Banker's Acceptance rate ("BA") plus a premium.

(2) Letter of credit fee rate is 0.75%.

b) Investment in joint ventures

The following table summarizes the Trust's ownership interest in each joint venture investment grouped by their principal intended activities as reflected in the Trust's consolidated financial statements:

As at		December 31, 2022		December 31, 2021	
Business Focus	Joint Venture Partner	Number of Projects	Ownership Interest (%)	Number of Projects	Ownership Interest (%)
Retail investment properties		1	30	1	30
<i>Joint Venture: 1500 Dundas East LP</i>		<i>Fieldgate</i>			
Self-storage facilities		13	50	10	50
<i>Joint Ventures: Leaside SAM LP, Oshawa South Self Storage LP, Bramport SAM LP, Vaughan NW SAM LP, Dupont Self Storage LP, Aurora Self Storage LP, Scarborough East Self Storage LP, Kingspoint Self Storage LP, Jane Self Storage LP, Gilbert Self Storage LP, Boxgrove Self Storage LP, Whitby Self Storage LP and Regent Self Storage LP</i>		<i>SmartStop</i>			
Seniors' apartments		—	—	1	50
<i>Joint Venture: Vaughan NW SA PropCo LP</i>		<i>Revera</i>			
Retirement residences					
<i>Joint Ventures: Vaughan NW RR (PropCo and OpCo LPs), Baymac RR PropCo LP, Oakville Garden Drive RR PropCo LP and Markham Main Street RR PropCo LP</i>		<i>Revera</i>		5	50
<i>Joint Ventures: Ottawa SW (PropCo and OpCo LPs)⁽¹⁾</i>		<i>Groupe Sélection</i>		1	50
Residential apartments					
<i>Joint Venture: Laval C Apartments LP</i>		<i>Jadco</i>		1	50
<i>Joint Venture: Balliol/Pailton LP</i>		<i>Greenwin</i>		1	75
<i>Joint Venture: Mascouche North Apartments LP</i>		<i>Cogir</i>		1	80
Total		22		21	

(1) According to the limited partnership agreement entered into by the Trust and Groupe Sélection in April 2020, the ownership of this joint venture was 50:50. As at December 31, 2022, the Trust contributed \$24,412 to this partnership, of which \$5,319 was characterized as special contributions. These special contributions have resulted in a corresponding increase to the Trust's equity entitlements in respect of the partnership.

Acquisitions completed during the year ended December 31, 2022

In January 2022, pursuant to a 50:50 joint venture formed with SmartStop known as Boxgrove Self Storage Limited Partnership, each joint venture party contributed \$1,000 into the joint venture to fund the purchase of a parcel of land located in Markham, Ontario, totalling 1.39 acres, in which the Trust had a 40% interest, with the intention to develop and operate a self-storage facility.

In May 2022, the Trust formed a 50:50 joint venture with SmartStop known as Regent Self Storage Limited Partnership, and pursuant to the joint venture agreement, each joint venture party contributed \$3,490 into the joint venture to fund the purchase of a parcel of land located in Burnaby, British Columbia, totalling 0.89 acres with the intention to develop and operate a self-storage facility.

In December 2022, pursuant to the 50:50 joint venture previously formed with Revera known as Vaughan NW RR PropCo Limited Partnership, the Trust contributed its interest in a parcel of land totalling 2.31 acres to the joint venture for a value of \$25,000, while Revera contributed cash, with the intention to develop and operate a retirement residence which is located in Vaughan, Ontario.

See also Note 4, "Investment properties".

i) Summary of balance sheets

The following table summarizes the balance sheets for investment in joint ventures:

As at	December 31, 2022	December 31, 2021
Non-current assets	729,104	545,946
Current assets	13,864	2,009
Total assets	742,968	547,955
Non-current liabilities	285,955	163,840
Current liabilities	36,683	66,662
Total liabilities	322,638	230,502
Net assets	420,330	317,453
Trust's share of net assets	222,227	165,212

The joint ventures listed above have entered into various development construction contracts with existing commitments totalling \$124,349, of which the Trust's share is \$61,010 (December 31, 2021 – \$77,053, of which the Trust's share is \$47,497).

ii) Summary of earnings (losses)

The following table summarizes the earnings (losses) for investment in joint ventures for:

	Year Ended December 31	
	2022	2021
Revenue	26,127	16,383
Operating expense	(11,514)	(7,696)
Revenue net of operating expense	14,613	8,687
Fair value adjustments on revaluation of investment properties	(2,420)	60,635
Interest expense	(7,825)	(5,135)
Earnings	4,368	64,187
Trust's share of earnings before supplemental cost	2,927	27,760
Supplemental cost	(3,660)	—
Trust's share of earnings (losses)	(733)	27,760

In accordance with the Supplemental Development and Construction Fee Agreements, the Trust invoiced certain investments in joint ventures for a net amount of \$7,321 related to associated supplemental development fees for the year ended December 31, 2022 (year ended December 31, 2021 – \$nil).

iii) Summary of credit facilities

Development financing includes a credit facility relating to Laval C Apartments comprising a pre-development and construction facility, and a construction facility relating to additional self-storage facilities. From time to time, the facilities amounts may be reduced through repayments and through amended agreements with the financial institutions from which the facilities were obtained. The development facilities are presented as follows:

As at December 31, 2022 and December 31, 2021, the Trust's joint ventures had the following credit facilities:

As at	December 31, 2022		December 31, 2021	
(in thousands of dollars)	Maturity in	Annual Interest Rate (%) ⁽¹⁾	Facility Amount	Facility Amount
Laval C Apartments LP				
Construction facility – Tower A	February 2022	BA + 1.60	—	35,417
Construction facility – Tower B ⁽²⁾	November 2024	BA + 1.60	48,822	—
SmartStop				
Construction facility	May 2024	BA + 2.20	136,900	118,100
Markham Main Street				
Development facility	December 2023	BA + 1.75	11,000	11,000
Mascouche North Apartments LP				
Construction facility	August 2025	BA + 1.50	55,000	—
			251,722	164,517
Amount drawn on development credit facilities			(181,610)	(130,630)
Letters of credit – outstanding			(1,648)	(887)
Remaining unused development credit facilities			68,464	33,000
Trust's share of remaining unused development credit facilities			40,234	16,500

(1) Annual interest rate is a function of BA rates plus a premium.

(2) Management is renegotiating the facility.

6. Mortgages, loans and notes receivable

The following table summarizes mortgages, loans and notes receivable:

As at	Note	December 31, 2022	December 31, 2021
Mortgages receivable (a)	22	39,456	139,589
Loans receivable (b)		282,312	274,523
Notes receivable (c)	22	2,924	2,924
		324,692	417,036
Current		86,593	71,947
Non-current		238,099	345,089
		324,692	417,036

- a) Mortgages receivable of \$39,456 (December 31, 2021 – \$139,589) are provided pursuant to agreements with Penguin (see also Note 22, “Related party transactions”). These amounts are provided to fund costs associated with both the original acquisition and development of seven properties (December 31, 2021 – seven properties). The Trust is committed to lend up to \$190,720 (December 31, 2021 – \$300,796) to assist with the further development of these properties.

The following table provides further details on the mortgages receivable (by maturity date) provided to Penguin:

Property	Committed	Maturity Date	Extended Maturity Date ⁽¹⁾	Annualized Variable Interest Rate at Year-End (%)	The Trust's Purchase Option of Property (%) ⁽²⁾	December 31, 2022	December 31, 2021
Caledon (Mayfield), ON ⁽⁵⁾	15,498	April 2024	August 2028	7.00	50	—	10,750
Salmon Arm, BC ⁽³⁾⁽⁵⁾	13,398	August 2028	N/A	6.50	—	—	15,860
Aurora (South), ON ⁽⁵⁾	15,155	August 2028	N/A	6.75	50	—	17,940
Innisfil, ON ⁽³⁾⁽⁵⁾	16,011	October 2023	N/A	7.00	—	—	16,642
Vaughan (7 & 427), ON ⁽⁵⁾	15,781	December 2023	August 2028	6.75	50	—	19,588
Toronto (StudioCentre), ON ⁽³⁾⁽⁴⁾	39,224	August 2028	N/A	6.90	25	15,862	26,915
Pitt Meadows, BC ⁽⁴⁾	75,653	November 2023	August 2028	6.90	50	23,594	31,894
	190,720			6.90		39,456	139,589

(1) The maturity dates for these mortgages are automatically extended to August 31, 2028 unless written notice is delivered from the borrower. During the extended maturity period, the mortgages receivable accrue interest at a variable rate based on the Canadian Banker's Acceptance rate plus 4.00% to 5.00%.

(2) The Trust has a purchase option from the borrower in these properties upon a certain level of development and leasing being achieved. As at December 31, 2022, it is management's expectation that the Trust will exercise these purchase options.

(3) The Trust owns a 50% interest in these properties, with the other 50% interest owned by Penguin. These loans are secured against Penguin's interest in the property.

(4) The weighted average interest rate on this mortgage is subject to an upper limit of 6.90%.

(5) Penguin fully repaid the outstanding balance of the mortgages in October 2022.

Mortgages receivable amendments

Interest on these mortgages accrues monthly as follows: from December 9, 2020 to the maturity date of each mortgage, at a variable rate based on the Canadian Banker's Acceptance rate plus 2.75% to 4.20%; and from the maturity date of each mortgage to the extended maturity date (August 31, 2028), at a variable rate based on the Canadian Banker's Acceptance rate plus 4.00% to 5.00%. Prior to December 9, 2020, interest on these mortgages accrued as follows: i) at a variable rate based on the Canadian Banker's Acceptance rate plus 1.75% to 4.20% or at the Trust's cost of capital (as defined in the applicable mortgage agreement) plus 0.25%; or ii) at fixed rates of 6.35% to 7.50%, which was added to the outstanding principal up to a predetermined maximum accrual, after which it was payable in cash on a monthly or quarterly basis. Additional interest of \$97,665 (December 31, 2021 – \$103,808) on the existing credit facilities may be accrued on certain of the mortgages receivable before cash interest must be paid.

The mortgage security includes a first or second charge on properties, assignments of rents and leases and general security agreements. In addition, the outstanding balance is guaranteed by Penguin. The loans are subject to individual loan guarantee agreements that provide additional guarantees for all interest and principal advanced on outstanding amounts. The amounts that are guaranteed decrease on achievement of certain specified value-enhancing events. Management considers all mortgages receivable to be fully collectible.

b) The following table presents loans receivable (by maturity date):

Issued to	Committed	Maturity Date	Interest Rate (%)	Note	December 31, 2022	December 31, 2021
Penguin ⁽¹⁾	12,493	January 2023	Variable	22	7,389	9,707
Penguin ⁽²⁾	26,227	January 2023	2.76 %	22	13,266	14,027
Penguin ⁽³⁾	N/A	December 2029	Interest-free	12(b)(iv), 22	62,986	77,828
Penguin ⁽⁴⁾	18,450	August 2030	Variable	22	16,638	15,404
Total loans issued to Penguin					100,279	116,966
PCVP ⁽⁵⁾	N/A	January 2023	2.76 %	22	48,532	47,214
Self-storage facilities ⁽⁶⁾	120,700	May 2024	Variable		116,096	91,938
Total loans issued to equity accounted investments					164,628	139,152
Other ⁽⁷⁾	N/A	January 2023	5.00 %		2,308	3,308
Greenwin ⁽⁸⁾	11,694	September 2024	Variable		—	—
Greenwin ⁽⁹⁾	1,280	January 2025	Variable		—	—
Other ⁽¹⁰⁾	N/A	October 2023	4.00 %		15,097	15,097
Total loans issued to unrelated parties					17,405	18,405
					282,312	274,523

- (1) This loan receivable was provided pursuant to a development management agreement with Penguin with a total loan facility of \$12,493. Repayment of the pro rata share of the outstanding loan amount is due upon the completion of each Earnout event. The loan bears interest at 10 basis points plus the lower of: i) the Canadian prime rate plus 45 basis points, and ii) the Canadian Dealer Offered Rate plus 145 basis points.
- (2) In March 2019, the Trust entered into a loan agreement with Penguin for a non-revolving principal advance facility of \$13,227 and a non-revolving construction facility of \$13,000, which combine for a total loan facility of \$26,227, bearing interest accruing at a fixed rate of 2.76% and a variable rate based on Canadian Banker's Acceptance rate plus 150 basis points, respectively. The loan security includes a first or second charge on the property, assignments of rents and leases and general security agreements, and is guaranteed by Penguin.
- (3) This loan receivable relates to the acquisition of a parcel of land in Vaughan, Ontario, through PCVP in December 2019 ("700 Applewood purchase"). In March 2020, the Trust assumed this loan receivable from Penguin in regards to PCVP. The loan has a principal amount outstanding of \$81,448, is non-interest-bearing, and is repayable at the end of 10 years. As at December 31, 2022, the loan balance of \$62,986 is net of a cumulative fair value adjustment totalling \$18,462. See also Note 12(b)(iv) reflecting the corresponding non-interest-bearing loan payable amount.
- (4) This loan receivable was provided in December 2021 in connection with the acquisition of a 50% interest in development lands in Toronto (Leaside), Ontario. The loan bears interest at: i) the Canadian Banker's Acceptance rate plus 220 basis points, up to 60% of the facility limit, and ii) the Canadian Banker's Acceptance rate plus 370 basis points, for the remainder.
- (5) In April 2019, the Trust entered into a loan agreement with PCVP (in which the Trust has a 50% interest) for a total loan facility of \$90,600, bearing interest accruing at 2.76% per annum. The loan security includes a first or second charge on properties, assignments of rents and leases and general security agreements, and is guaranteed by Penguin up to its 50% share of the loan. The Trust reflects the activity from the PCVP as an equity accounted investment (see also Note 5, "Equity accounted investments") and 100% of the loan provided to the PCVP is recorded in the consolidated financial statements for the year ended December 31, 2022.
- (6) In July 2020, the Trust entered into a master credit loan agreement with its partner SmartStop to provide funding for the development of certain self-storage facilities. The master credit loan agreement matures in July 2023 and bears interest at a variable rate based on the Canadian Banker's Acceptance rate plus 245 basis points. In April 2021, this master credit loan agreement was amended which resulted in an increase to total committed amounts from \$65,500 to \$80,800, and the maturity was extended to May 2024. Also in April 2021, the Trust entered into a second master credit loan agreement with SmartStop to provide funding for the development of additional self-storage facilities. This second master credit loan agreement matures in May 2024 with a committed amount of \$34,300. See further details in Note 5(b).
- (7) In January 2021, the Trust entered into a loan agreement pursuant to the closing of the Niagara Falls parcel sale to a third party. The Trust agreed to take back a first charge as security for the loan, which bears interest at 5.0% per annum, calculated semi-annually. Subsequently, the loan was fully repaid in January 2023.
- (8) In September 2019, the Trust entered into a loan agreement with Greenwin in connection with the acquisition of a 50% interest in development lands in Barrie, Ontario. As at December 31, 2022, the total remaining credit facility was \$11,694. The loan security includes a first charge on the development lands and is guaranteed by Greenwin. This loan matures in September 2024, and bears interest at the greater of: i) 7.0% per annum, and ii) the Trust's weighted average cost of capital plus 1.25% per annum. In August 2020, Greenwin repaid this loan in advance of the maturity date.
- (9) In January 2020, the Trust entered into a loan agreement with Greenwin, whereby the Trust assisted Greenwin to fund the acquisition of its 25% interest in development lands in Toronto, Ontario. As at December 31, 2022, the total remaining non-revolving term acquisition credit facility was \$1,280. The loan agreement also includes a non-revolving put exercise credit facility in an amount equal to the put purchase price plus any associated closing costs at the time of exercise. The loan security includes a first charge on the development lands and is guaranteed by Greenwin. This loan matures in January 2025, and bears interest at the greater of: i) 7.0% per annum, and ii) the Trust's weighted average cost of capital plus 1.25% per annum. In August 2020, Greenwin repaid this loan in advance of the maturity date.
- (10) In October 2021, the Trust entered into a loan agreement pursuant to the sale of the Innisfil property to a third party. The Trust agreed to take back a first charge as security for the loan. The loan matures in October 2023 and bears interest at 4.00% per annum, calculated annually. Penguin has assigned its 50% interest in the vendor take-back loan to the Trust as security for the mortgage receivable.

Management considers all outstanding loans to be fully collectible.

c) Notes receivable of \$2,924 (December 31, 2021 – \$2,924) have been granted to Penguin (see also Note 22, "Related party transactions"). As at December 31, 2022, these secured demand notes bear interest at the rate of 9.00% per annum (December 31, 2021 – 9.00%).

The estimated fair values of mortgages, loans and notes receivable are based on their respective current market rates, bearing similar terms and risks. This information is disclosed in Note 15, "Fair value of financial instruments".

7. Other assets

The following table summarizes the activity in other assets:

	December 31, 2021	Additions	Write-offs	Amortization and other adjustments	December 31, 2022
Straight-line rents receivable	43,564	8,311	(262)	(7,552)	44,061
Tenant incentives	32,478	9,368	(36)	(7,051)	34,759
	76,042	17,679	(298)	(14,603)	78,820
Equipment	1,285	1,589	—	(539)	2,335
Right-of-use assets	3,613	312	—	(1,850)	2,075
	80,940	19,580	(298)	(16,992)	83,230

8. Other financial assets

The following table summarizes the components of other financial assets:

As at	Note	December 31, 2022	December 31, 2021
Total return swap receivable (a)		137,526	46,869
Interest rate swap agreements	13	34,281	—
Cash held as collateral (b)		—	50,279
		171,807	97,148

a) Total return swap receivable

The following table summarizes the activity in the total return swap receivable:

	Year Ended December 31	
	2022	2021
Balance – beginning of year	46,869	—
Additions	101,041	42,342
Distributions received	(5,466)	(1,115)
Fair value adjustments	(4,918)	5,642
Balance – end of year	137,526	46,869

b) Cash held as collateral

Cash and cash equivalents were pledged with a Canadian financial institution as collateral to secure the payment and performance of all secured obligations under the total return swap agreement, see also Note 8(a). In December 2022, the cash held as collateral of \$145,100 was released. See also Note 12(b).

9. Intangible assets

The following table summarizes the components of intangible assets:

As at	December 31, 2022			December 31, 2021		
	Cost	Accumulated Amortization	Net	Cost	Accumulated Amortization	Net
Intangible assets with finite lives:						
Key joint venture relationships	36,944	9,353	27,591	36,944	8,121	28,823
Trademarks	2,995	758	2,237	2,995	658	2,337
Total intangible assets with finite lives	39,939	10,111	29,828	39,939	8,779	31,160
Goodwill	13,979	—	13,979	13,979	—	13,979
	53,918	10,111	43,807	53,918	8,779	45,139

The total amortization expense recognized for the year ended December 31, 2022 amounted to \$1,332 (year ended December 31, 2021 – \$1,331).

10. Residential development inventory

Residential development inventory consists of development lands, co-owned with Fieldgate, located at Vaughan NW, Ontario, for the purpose of developing and selling residential townhome units.

The following table summarizes the activity in residential development inventory:

As at	December 31, 2022	December 31, 2021
Balance – beginning of year	27,399	25,795
Development costs	11,931	646
Capitalized interest	1,043	958
Balance – end of year	40,373	27,399

11. Amounts receivable and other, prepaid expenses, deposits and deferred financing costs

The following table presents the components of amounts receivable and other, prepaid expenses, deposits and financing costs:

As at	December 31, 2022	December 31, 2021
Amounts receivable and other		
Tenant receivables	26,735	36,305
Unbilled other tenant receivables	11,100	11,847
Receivables from related party – excluding equity accounted investments	11,899	6,966
Receivables from related party – equity accounted investments	616	581
Other non-tenant receivables	1,954	1,414
Other ⁽¹⁾	13,591	11,383
	65,895	68,496
Allowance for ECL	(8,771)	(18,954)
Amounts receivable and other, net of allowance for ECL	57,124	49,542
Prepaid expenses, deposits and deferred financing costs ⁽²⁾	14,474	12,289
	71,598	61,831

(1) The amount includes a related party amount of \$6,835 (December 31, 2021 – \$7,987).

(2) Includes prepaid realty tax of \$1,468 (December 31, 2021 – \$1,350).

Allowance for expected credit loss

The Trust records the ECL to comply with IFRS 9's simplified approach for amounts receivable where its allowance for ECL is measured at initial recognition and throughout the life of the amounts receivable at a total equal to lifetime ECL.

The following table summarizes the reconciliation of changes in the allowance for ECL on amounts receivable:

	Year Ended December 31	
	2022	2021
Balance – beginning of year	18,954	19,742
Net allowance recognized as expense (reversal)	(3,073)	2,841
Tenant receivables written off	(7,110)	(3,629)
Balance – end of year	8,771	18,954

12. Debt

The following table presents debt balances:

As at	December 31, 2022	December 31, 2021
Secured debt (a)	969,054	1,294,546
Unsecured debt (b)	3,932,928	3,262,356
Revolving operating facilities (c)	81,283	297,625
	4,983,265	4,854,527
Current	459,278	678,406
Non-current	4,523,987	4,176,121
	4,983,265	4,854,527

a) Secured debt

Secured debt bears interest at a weighted average interest rate of 3.91% as at December 31, 2022 (December 31, 2021 – 3.49%). Total secured debt of \$969,054 (December 31, 2021 – \$1,294,546) includes \$948,921 (December 31, 2021 – \$1,182,078) at fixed interest rates, and \$20,133 (December 31, 2021 – \$70,277) at variable interest rates of the Canadian Banker's Acceptance rate plus 170 basis points. Secured debt matures at various dates between 2023 and 2031 and is secured by first or second registered mortgages over specific income properties and properties under development and first general assignments of leases, insurance and registered chattel mortgages.

The following table presents principal repayment requirements for secured debt:

	Instalment Payments	Lump Sum Payments at Maturity	Total
2023	38,599	201,295 ⁽¹⁾	239,894
2024	32,336	118,696	151,032
2025	21,736	389,605	411,341
2026	11,240	86,881	98,121
2027	5,473	—	5,473
Thereafter	16,176	48,200	64,376
	125,560	844,677	970,237
Unamortized acquisition date fair value adjustments			554
Unamortized financing costs			(1,737)
			969,054

(1) Includes construction loans in the amount of \$20,133, which bear interest at Canadian Banker's Acceptance rate plus 170 basis points.

b) Unsecured debt

The following table summarizes the components of unsecured debt:

As at	December 31, 2022	December 31, 2021
Unsecured debentures i)	2,652,327	2,650,571
Credit facilities ii)	996,238	416,223
TRS debt iii)	143,232	—
Other unsecured debt iv)	141,131	195,562
	3,932,928	3,262,356

i) Unsecured debentures

As at December 31, 2022, unsecured debentures totalled \$2,652,327 (December 31, 2021 – \$2,650,571). Unsecured debentures mature at various dates between 2023 and 2030, with interest rates ranging from 1.74% to 3.99%, and a weighted average interest rate of 3.17% as at December 31, 2022 (December 31, 2021 – 3.17%).

The following table summarizes the components of unsecured debentures:

Series	Maturity Date	Annual Interest Rate (%)	Interest Payment Dates	December 31, 2022	December 31, 2021
Series I	May 30, 2023	3.985	May 30 and November 30	200,000	200,000
Series N	February 6, 2025	3.556	February 6 and August 6	160,000	160,000
Series O	August 28, 2024	2.987	February 28 and August 28	100,000	100,000
Series P	August 28, 2026	3.444	February 28 and August 28	250,000	250,000
Series S	December 21, 2027	3.834	June 21 and December 21	250,000	250,000
Series U	December 20, 2029	3.526	June 20 and December 20	450,000	450,000
Series V	June 11, 2027	3.192	June 11 and December 11	300,000	300,000
Series W	December 11, 2030	3.648	June 11 and December 11	300,000	300,000
Series X	December 16, 2025	1.740	June 16 and December 16	350,000	350,000
Series Y	December 18, 2028	2.307	June 18 and December 18	300,000	300,000
		3.167 ⁽¹⁾		2,660,000	2,660,000
			Unamortized financing costs	(7,673)	(9,429)
				2,652,327	2,650,571

(1) Represents the weighted average annual interest rate and excludes deferred financing costs.

Unsecured debenture activities for the year ended December 31, 2022

There was no significant activity relating to unsecured debentures during the year ended December 31, 2022.

Unsecured debenture activities for the year ended December 31, 2021

Redemptions and Maturity

In January 2021, the Trust completed the redemption of its 3.730% Series M senior unsecured debentures and 2.876% Series Q senior unsecured debentures, in aggregate principal amounts of \$150,000 and \$150,000, respectively, with yield maintenance costs and accrued interest payable. The yield maintenance costs of \$11,084 relating to the redemptions were recorded in the Trust's consolidated financial statements for the year ended December 31, 2020.

In June 2021, the Trust's 2.757% Series T senior unsecured debentures (the "Senior T Debentures") matured. Aggregate principal amount of Senior T Debentures outstanding was \$323,120 and was fully repaid on maturity.

Credit rating of unsecured debentures

Dominion Bond Rating Services ("DBRS") provides credit ratings of debt securities for commercial issuers that indicate the risk associated with a borrower's capabilities to fulfil its obligations. An investment-grade rating must exceed "BB", with the highest rating being "AAA". In December 2022, DBRS confirmed the Trust's BBB(high) rating and maintained the negative trend.

ii) Credit facilities

The following table summarizes the activity for unsecured credit facilities:

(Issued In)	Initial Maturity Date	Annual Interest Rate (%)	Facility Amount	December 31, 2022	December 31, 2021
Non-revolving:					
August 2018 ⁽¹⁾	January 31, 2025	2.980	80,000	80,000	80,000
March 2019 ⁽¹⁾	July 31, 2026	3.520	150,000	150,000	150,000
May 2019 ⁽¹⁾	June 24, 2024	3.146	170,000	170,000	170,000
January 2022	January 19, 2027	BA + 1.20	300,000	300,000	—
December 2022 ⁽¹⁾	December 1, 2025	4.370	100,000	100,000	—
December 2022	December 1, 2025	BA + 1.20	100,000	100,000	—
December 2022	December 20, 2025	BA + 1.20 or CAD Prime	100,000	100,000	—
Revolving:					
May 2020	May 11, 2024	BA + 1.20	100,000	—	17,000
				1,000,000	417,000
Less:					
Unamortized financing costs				(1,802)	(777)
Unamortized debt modification adjustments				(1,960)	—
				996,238	416,223

(1) The Trust entered into interest rate swap agreements to convert the variable interest rate of the Canadian Banker's Acceptance rate plus 1.20% into a weighted average fixed interest rate of 2.62% per annum. The weighted average term to maturity of the interest rate swaps is 2.39 years. Hedge accounting has not been applied to the interest rate swap agreements.

iii) TRS Debt

The Trust borrowed TRS debt concurrent with entering the TRS agreement in February 2021. As at December 31, 2022, TRS unsecured debt of \$143,232 (December 31, 2021 – TRS secured debt of \$42,191) carries variable rate interest at a rate of CDOR plus 106 basis points. The interest on this TRS debt includes floating amounts that are payable at each May, August, November and February commencing in May 2021 to the date the TRS agreement matures or is unwound. In December 2022, the cash collateralized against the TRS debt was released and as a result the TRS debt was reclassified from secured debt to unsecured debt as at December 31, 2022.

See also Note 8, "Other financial assets", for further details.

iv) Other unsecured debt

Other unsecured debt net of fair value adjustments totalling \$141,131 (December 31, 2021 – \$195,562) at the Trust's share pertains to loans received from equity accounted investments in connection with contribution agreements relating to joint ventures. The loans are non-interest-bearing with repayment terms based on the distributions that are to be paid pursuant to the limited partnership agreements. The balances of the loans are expected to be paid at the end of their respective terms.

The following table summarizes components of the Trust's other unsecured debt:

As at	December 31, 2022	December 31, 2021
PCVP (5.00% discount rate) ⁽¹⁾	64,992	80,259
PCVP (5.75% discount rate) ⁽²⁾	62,986	77,828
Vaughan NW RR PropCo LP	12,500	12,500
VMC Residences ⁽³⁾	653	24,975
	141,131	195,562

(1) In connection with the 700 Applewood purchase in December 2019, the loan has a principal amount outstanding of \$81,448 (December 31, 2021 – \$100,404), is non-interest-bearing, and is repayable at the end of 10 years. As at December 31, 2022, the loan balance of \$64,992 is net of the unamortized fair value adjustment totalling \$16,456 (December 31, 2021 – the loan balance of \$80,259 is net of a fair value adjustment totalling \$20,145).

(2) In connection with the 700 Applewood purchase in March 2020, the Trust assumed a loan payable to PCVP from Penguin. The loan has a principal amount outstanding of \$81,448 (December 31, 2021 – \$100,404), is non-interest-bearing, and is repayable at the end of 10 years. As at December 31, 2022, the loan balance of \$62,986 is net of the unamortized fair value adjustment totalling \$18,462 (December 31, 2021 – the loan balance of \$77,828 is net of a fair value adjustment totalling \$22,576). See also Note 6(b) reflecting offsetting loan receivable amount.

(3) In connection with the Transit City condominium closings, \$nil was received and \$24,322 was settled during the year ended December 31, 2022 (year ended December 31, 2021 – \$24,322 was received and \$52,824 was settled). See Note 5, "Equity accounted investments."

c) Revolving operating facilities

As at December 31, 2022, the Trust had:

i) a \$500,000 unsecured revolving operating facility bearing interest at a variable interest rate based on either bank prime rate plus 20 basis points or the Canadian Banker's Acceptance rate plus 120 basis points, which matures on August 20, 2026 (in addition, the Trust has an accordion feature of \$250,000 whereby the Trust has an option to increase its facility amount with the lenders to sustain future operations as required); and

ii) a \$150,000 revolving senior unsecured term facility under which the Trust has the ability to draw funds based on bank prime rates and Canadian Banker's Acceptance rate for Canadian dollar-denominated borrowings, and LIBOR rates or U.S. prime rates for U.S. dollar-denominated borrowings. Concurrently with the U.S. dollar draws, the Trust enters into cross currency swaps to exchange its U.S. dollar borrowings into Canadian dollar borrowings.

The following table summarizes components of the Trust's revolving operating facilities:

	Annual Interest Rate (%)	Facility Amount	Amount Drawn	Outstanding Letters of Credit	Remaining Undrawn Facilities	
					December 31, 2022	December 31, 2021
Revolving facility maturing August 2026	BA + 1.20	500,000	7,000	15,374	477,626	341,715
Revolving facility maturing February 2024 ⁽¹⁾	US\$ LIBOR + 1.20	150,000	74,283	—	75,717	—
			81,283		553,343	341,715

(1) The Trust has drawn in US\$54,873 which was translated to \$74,283 as at December 31, 2022 (December 31, 2021 – drawn in US\$116,786 which was translated to \$147,625).

d) Interest expense

The following table summarizes interest expense:

	Year Ended December 31	
	2022	2021
Interest at stated rates	166,181	150,187
Amortization of acquisition date fair value adjustments on assumed debt	(460)	(527)
Adjustment on debt modification	(1,960)	—
Amortization of deferred financing costs	3,606	3,828
Distributions on Units classified as liabilities and vested deferred units	17,414	6,343
	184,781	159,831
Capitalized to properties under development	(35,036)	(14,333)
Capitalized to residential development inventory	(1,043)	(958)
	148,702	144,540

The following table presents a reconciliation between the interest expense and the cash interest paid:

	Year Ended December 31	
	2022	2021
Interest expense	148,702	144,540
Amortization of acquisition date fair value adjustments on assumed debt	460	527
Adjustment on debt modification	1,960	—
Amortization of deferred financing costs	(3,606)	(3,828)
Distributions on Units classified as liabilities and vested deferred units, net of amounts capitalized to properties under development	(7,139)	(6,343)
Change in accrued interest payable	(684)	15,658
Cash interest paid	139,693	150,554

For the year ended December 31, 2022, including cash interest paid of \$139,693 (year ended December 31, 2021 – \$150,554) and interest capitalized to both properties under development and residential development inventory of \$36,079 (year ended December 31, 2021 – \$15,291), total interest paid was \$175,772 (year ended December 31, 2021 – \$165,845).

e) Liquidity

The Trust's liquidity position is monitored by management on a regular basis. The table below provides the contractual maturities of the Trust's material financial obligations including debentures, mortgage receivable advances and development commitments:

	Total	2023	2024	2025	2026	2027	Thereafter
Secured debt	970,237	239,894	151,031	411,341	98,121	5,473	64,377
Unsecured debt	3,979,281	213,153	370,000	933,232	400,000	850,000	1,212,896
Revolving operating facilities	81,283	7,000	74,283	—	—	—	—
Interest obligations ⁽¹⁾	202,010	4,471	113,742	95,743	76,884	(32,724)	(56,106)
Accounts payable	259,352	259,352	—	—	—	—	—
Other payable	27,011	8,147	8,730	134	—	—	10,000
Long term incentive plan	580	580	—	—	—	—	—
	5,519,754	732,597	717,786	1,440,450	575,005	822,749	1,231,167
Mortgage receivable advances (repayments) ⁽²⁾	151,264	1,015	1,130	(15,880)	1,034	378	163,587
Development obligations (commitments)	20,669	20,669	—	—	—	—	—
Total	5,691,687	754,281	718,916	1,424,570	576,039	823,127	1,394,754

(1) Interest obligations represent expected interest payments on secured debt, unsecured debt, and revolving operating facilities under the assumption that the balances are repaid at maturity, and do not represent a separate contractual obligation.

(2) Mortgages receivable of \$39,456 at December 31, 2022, and further forecasted commitments of \$151,264, mature over a period extending to 2028 if the Trust does not exercise its option to acquire the investment properties. Refer to Note 6, "Mortgages, loans and notes receivable", for timing of principal repayments.

13. Other financial liabilities

The following table summarizes the components of other financial liabilities:

As at	Note	December 31, 2022	December 31, 2021
Units classified as liabilities (a)		211,497	254,223
Deferred unit plan (c)		48,402	50,660
LTIP (d)		580	697
EIP (e)		16,204	10,377
Currency swap agreement ⁽¹⁾		717	2,374
Interest rate swap agreements	8	—	7,754
		277,400	326,085

(1) The currency swap agreement has been recorded in the revolving operating facilities balance as reflected in Note 12(c) "Revolving operating facilities".

a) Units classified as liabilities**Total number of Units classified as liabilities**

The following table presents the number of Units classified as liabilities that are issued and outstanding:

	Class D Series 1 Smart LP Units	Class F Series 3 Smart LP Units	Class D Series 1 Smart Oshawa South LP Units	Class B ONR LP Units	Class B Series 1 ONR LP I Units	Class B Series 2 ONR LP I Units	Class D Series 1 SmartVMC West LP Units	Class D Series 2 SmartVMC West LP Units	Total
Balance – January 1, 2021	311,022	8,708	260,417	1,248,140	132,881	139,302	—	—	2,100,470
Issuance of LP Units	—	—	—	—	—	—	3,623,188	2,173,913	5,797,101
Balance – December 31, 2021	311,022	8,708	260,417	1,248,140	132,881	139,302	3,623,188	2,173,913	7,897,571
Balance – January 1, 2022	311,022	8,708	260,417	1,248,140	132,881	139,302	3,623,188	2,173,913	7,897,571
Balance – December 31, 2022	311,022	8,708	260,417	1,248,140	132,881	139,302	3,623,188	2,173,913	7,897,571

Carrying value of Units classified as liabilities

The following table represents the carrying value of Units classified as liabilities. The fair value measurement of the Units classified as liabilities is described in Note 15, "Fair value of financial instruments".

	Class D Series 1 Smart LP Units	Class F Series 3 Smart LP Units	Class D Series 1 Smart Oshawa South LP Units	Class B ONR LP Units	Class B Series 1 ONR LP I Units	Class B Series 2 ONR LP I Units	Class D Series 1 SmartVMC West LP Units	Class D Series 2 SmartVMC West LP Units	Total
Balance – January 1, 2021	7,178	201	6,011	28,808	3,067	3,214	—	—	48,479
Change in carrying value	2,833	79	2,372	11,371	1,211	1,269	3,358	2,015	24,508
Issuance of LP Units	—	—	—	—	—	—	113,273	67,963	181,236
Balance – December 31, 2021	10,011	280	8,383	40,179	4,278	4,483	116,631	69,978	254,223
Balance – January 1, 2022	10,011	280	8,383	40,179	4,278	4,483	116,631	69,978	254,223
Change in carrying value	(1,683)	(47)	(1,409)	(6,752)	(719)	(754)	(19,601)	(11,761)	(42,726)
Balance – December 31, 2022	8,328	233	6,974	33,427	3,559	3,729	97,030	58,217	211,497

b) Earnout options

As part of the consideration paid for certain investment property acquisitions, the Trust has granted options in connection with the development management agreements (see also Note 4(d)). On completion and rental of additional space on specific properties, the Earnout options vest and the holder may elect to exercise the options and receive Trust Units, Class B Smart LP Units, Class D Smart LP Units, Class F Smart LP Units, Class B Smart LP III Units, Class B Smart LP IV Units, Class B Smart Oshawa South LP Units, Class D Smart Oshawa South LP Units, Class B Smart Oshawa Taunton LP Units, Class D Smart Oshawa Taunton LP Units, Class B Smart Boxgrove LP Units and Class B ONR LP I Units, as applicable. Earnout options that have not vested expire at the end of the term of the corresponding development management agreement. In certain circumstances, the Trust may be required to issue additional Earnout options to Penguin. The option strike prices were based on the market price of Trust Units on the date the substantive terms were agreed on and announced. In the case of Class B Smart LP III Units, Class B Smart LP IV Units, Class B Smart Oshawa South LP Units, Class D Smart Oshawa South LP Units, Class B Smart Oshawa Taunton LP Units, Class D Smart Oshawa Taunton LP Units, Class B Smart Boxgrove LP Units, and Class B ONR LP I Units, the strike price is the market price of the Trust Units at the date of exchange. On December 9, 2020, the Trust entered into an Omnibus Settlement Agreement with Mitchell Goldhar that provided a right to extend the terms of certain Earnout agreements for an additional two years. As a result, the Earnout agreements for Earnout options in the table below that were originally set to expire between 2020 to 2025 may be extended to 2022 to 2027.

The following tables summarize the changes in Units outstanding and proceeds received:

Options to acquire	Strike Price (\$)	Options Outstanding at January 1, 2022 (#)	Options Cancelled (#)	Options Exercised (#)	Options Outstanding at December 31, 2022 (#)	Amounts from Options Exercised (\$)
Trust Units	20.01 to 33.55	1,457,285	—	—	1,457,285	—
Class B Smart LP Units, Class D Smart LP Units and Class F Smart LP Units ⁽¹⁾	20.10 to 33.00	5,847,776	—	—	5,847,776	—
Class B Smart LP III Units ⁽²⁾	Market price	1,846,472	—	(154,392)	1,692,080	707
Class B Smart LP IV Units ⁽³⁾	Market price	397,543	—	(21,785)	375,758	572
Class B Smart Oshawa South LP Units and Class D Smart Oshawa South LP Units ⁽⁴⁾	Market price	26,585	—	—	26,585	—
Class B Smart Oshawa Taunton LP Units and Class D Smart Oshawa Taunton LP Units ⁽⁵⁾	Market price	265,422	—	—	265,422	—
Class B and Class G Smart Boxgrove LP Units ⁽⁶⁾	Market price	267,179	—	—	267,179	—
Class B ONR LP I Units ⁽⁷⁾	Market price	429,599	—	—	429,599	—
Total Earnout options		10,537,861	—	(176,177)	10,361,684	1,279

(1) Each option is represented by a corresponding Class C Smart LP Unit or Class E Smart LP Unit. For the options issued in June 2008, each option is convertible into Class F Series 3 Smart LP Units. At the holder's option, the Class F Series 3 Smart LP Units may be redeemed for cash at \$20.10 per Unit or, on the completion and rental of additional space on certain development properties, the Class F Series 3 Smart LP Units may be exchanged for Class B Smart LP Units.

(2) Each option is represented by a corresponding Class C Smart LP III Unit.

(3) Each option is represented by a corresponding Class C Smart LP IV Unit.

- (4) Each option is represented by a corresponding Class C Smart Oshawa South LP Unit or Class E Smart Oshawa South LP Unit.
 (5) Each option is represented by a corresponding Class C Smart Oshawa Taunton LP Unit or Class E Smart Oshawa Taunton LP Unit.
 (6) Each option is represented by a corresponding Class C Smart Boxgrove LP Unit.
 (7) Each option is represented by a corresponding Class C ONR LP I Unit.

Options to acquire	Strike Price (\$)	Options Outstanding at January 1, 2021 (#)	Options Cancelled (#)	Options Exercised (#)	Options Outstanding at December 31, 2021 (#)	Amounts from Options Exercised (\$)
Trust Units	20.01 to 33.55	1,457,285	—	—	1,457,285	—
Class B Smart LP Units, Class D Smart LP Units and Class F Smart LP Units ⁽¹⁾	20.10 to 33.00	5,855,539	—	(7,763)	5,847,776	229
Class B Smart LP III Units ⁽²⁾	Market price	1,879,759	—	(33,287)	1,846,472	814
Class B Smart LP IV Units ⁽³⁾	Market price	422,059	—	(24,516)	397,543	695
Class B Smart Oshawa South LP Units and Class D Smart Oshawa South LP Units ⁽⁴⁾	Market price	26,585	—	—	26,585	—
Class B Smart Oshawa Taunton LP Units and Class D Smart Oshawa Taunton LP Units ⁽⁵⁾	Market price	265,422	—	—	265,422	—
Class B and Class G Smart Boxgrove LP Units ⁽⁶⁾	Market price	267,179	—	—	267,179	—
Class B ONR LP I Units ⁽⁷⁾	Market price	482,086	(52,487)	—	429,599	—
Total Earnout options		10,655,914	(52,487)	(65,566)	10,537,861	1,738

- (1) Each option is represented by a corresponding Class C Smart LP Unit or Class E Smart LP Unit. For the options issued in June 2008, each option is convertible into Class F Series 3 Smart LP Units. At the holder's option, the Class F Series 3 Smart LP Units may be redeemed for cash at \$20.10 per Unit or, on the completion and rental of additional space on certain development properties, the Class F Series 3 Smart LP Units may be exchanged for Class B Smart LP Units.
 (2) Each option is represented by a corresponding Class C Smart LP III Unit.
 (3) Each option is represented by a corresponding Class C Smart LP IV Unit.
 (4) Each option is represented by a corresponding Class C Smart Oshawa South LP Unit or Class E Smart Oshawa South LP Unit.
 (5) Each option is represented by a corresponding Class C Smart Oshawa Taunton LP Unit or Class E Smart Oshawa Taunton LP Unit.
 (6) Each option is represented by a corresponding Class C Smart Boxgrove LP Unit.
 (7) Each option is represented by a corresponding Class C ONR LP I Unit.

c) Deferred unit plan

The following table summarizes the number of outstanding deferred units:

	Outstanding	Vested	Unvested
Balance – January 1, 2021	1,305,275	1,068,243	237,032
Granted			
Trustees	71,205	71,205	—
Eligible associates	231,360	115,680	115,680
Reinvested units from distributions	106,865	87,545	19,320
Vested	—	95,804	(95,804)
Exchanged for Trust Units	(6,665)	(6,665)	—
Redeemed for cash	(34,671)	(34,671)	—
Forfeited	(5,948)	—	(5,948)
Balance – December 31, 2021	1,667,421	1,397,141	270,280
Balance – January 1, 2022	1,667,421	1,397,141	270,280
Granted			
Trustees	44,970	44,970	—
Eligible associates	181,388	92,043	89,345
Reinvested units from distributions	121,028	100,996	20,032
Vested	—	83,704	(83,704)
Redeemed for cash	(110,867)	(110,867)	—
Forfeited	(15,431)	—	(15,431)
Balance – December 31, 2022	1,888,509	1,607,987	280,522

The following table summarizes the change in the carrying value of the deferred unit plan:

	Year Ended December 31	
	2022	2021
Carrying value – beginning of year	50,660	28,051
Deferred units granted for trustee fees	712	886
Deferred units granted for bonuses	2,900	2,702
Reinvested distributions on vested deferred units	2,846	2,424
Compensation expense – reinvested distributions and amortization	3,576	3,990
Exchanged for Trust Units	—	(198)
Redeemed for cash	(3,372)	(1,019)
Fair value adjustment – vested and unvested deferred units	(8,920)	13,824
Carrying value – end of year	48,402	50,660

d) **LTIP**

The following table summarizes the activities in the LTIP:

	Year Ended December 31	
	2022	2021
Balance – beginning of year	697	1,540
Amortization	280	968
Fair value adjustment	(397)	(808)
LTIP vested and paid out	—	(1,003)
Balance – end of year	580	697

e) **Equity Incentive Plan**

During the years ended December 31, 2022 and 2021, the Trust granted performance units in connection with the EIP, subject to the achievement of Unit price thresholds. The performance period for the EIP is from the grant date to December 31 of the sixth anniversary. Distributions on performance units will accumulate on the performance units that have been granted. Performance units, including distributions on performance units, vest for the lesser of three years after they are earned or on the end of the applicable Performance Period. Upon vesting, performance units will be exchanged for Trust Units or paid out in cash at the option of the holders.

The following summarizes the outstanding number of performance units associated with the EIP:

	Year Ended December 31	
	2022	2021
Balance – beginning of year ⁽¹⁾	1,339,699	—
Granted ⁽²⁾	65,000	1,371,000
Reinvested units from distributions	87,514	66,696
Terminated	(121,673)	(97,997)
Balance – end of year	1,370,540	1,339,699

(1) The beginning balance of 2022 includes performance units that were granted to Mitchell Goldhar and eligible associates during the year ended December 31, 2021, as well as performance units that were reinvested from distributions, and certain performance units that were terminated.

(2) Under the EIP granted to Mitchell Goldhar in 2021 totalling 900,000 Units, the \$26.00 Unit price threshold was achieved on April 5, 2021, and the \$28.00 Unit price threshold was achieved on May 18, 2021, and under the EIP granted to Mitchell Goldhar and other eligible associates in 2021, the \$30.00 Unit price threshold was achieved on September 22, 2021, and the \$32.00 Unit price threshold was achieved on April 5, 2022. The performance units for these Unit price thresholds will vest on April 4, 2024, May 17, 2024, September 21, 2024 and April 4, 2025, respectively.

The following table summarizes the change in the carrying value of the EIP:

	Year Ended December 31	
	2022	2021
Balance – beginning of year	10,377	—
Amortization costs	7,912	7,127
Fair value adjustment	(2,085)	3,250
Balance – end of year	16,204	10,377

14. Accounts and other payables

The following table presents accounts payable and the current portion of other payables that are classified as current liabilities:

As at	Note	December 31, 2022	December 31, 2021
Accounts payable		83,088	75,148
Accounts payable and accrued liabilities with Penguin	22	3,504	3,370
Tenant prepaid rent, deposits, and other payables		108,364	118,457
Residential sales deposits		11,690	375
Accrued interest payable		14,094	13,410
Distributions payable		26,569	26,600
Realty taxes payable		2,946	3,193
Current portion of other payables		10,867	12,525
		261,122	253,078

The following table presents other payables that are classified as non-current liabilities:

As at	Note	December 31, 2022	December 31, 2021
Future land development obligations with Penguin		17,646	18,931
Lease liability – investment properties ⁽¹⁾	4(c)(ii)	8,411	8,283
Lease liability – other		2,075	3,554
Total other payables		28,132	30,768
Less: Current portion of other payables		(10,867)	(12,525)
Total non-current portion of other payables		17,265	18,243

(1) Leasehold properties with bargain purchase options are accounted for as leases.

Future land development obligations

The future land development obligations represent payments required to be made to Penguin (see also Note 22, “Related party transactions”) for certain undeveloped lands acquired from 2006 to 2015, either on completion and rental of additional space on the undeveloped lands or, if no additional space is completed on the undeveloped lands, at the expiry of the development management agreement periods ending in 2022 to 2025, which may be extended up to 2027. The accrued future land development obligations are measured at their amortized values using imputed interest rates ranging from 4.50% to 5.50%. For the year ended December 31, 2022, imputed interest of \$423 (year ended December 31, 2021 – \$630) was capitalized to properties under development.

15. Fair value of financial instruments

The fair value of financial instruments is the amount for which an asset could be exchanged or a liability settled between knowledgeable, willing parties in an arm's-length transaction based on the current market for assets and liabilities with the same risks, principal and remaining maturity. The following table summarizes the fair value of the Trust's financial instruments:

As at	December 31, 2022			December 31, 2021		
	FVTPL	Amortized cost	Total	FVTPL	Amortized cost	Total
Financial assets						
Mortgages, loans and notes receivable	—	322,697	322,697	—	414,215	414,215
Amounts receivable and other	—	57,124	57,124	—	49,542	49,542
Cash and cash equivalents	—	35,255	35,255	—	62,235	62,235
Cash held as collateral	—	—	—	—	50,279	50,279
Total return swap receivable	137,526	—	137,526	46,869	—	46,869
Interest rate swap agreements	34,281	—	34,281	—	—	—
Financial liabilities						
Accounts and other payables	—	261,122	261,122	—	253,078	253,078
Secured debt	—	938,431	938,431	—	1,344,257	1,344,257
Unsecured debt	—	3,616,047	3,616,047	—	3,284,160	3,284,160
Revolving operating facilities	—	81,283	81,283	—	297,625	297,625
Units classified as liabilities	211,497	—	211,497	254,223	—	254,223
Deferred unit plan	48,402	—	48,402	50,660	—	50,660
LTIP	580	—	580	697	—	697
EIP	16,204	—	16,204	10,377	—	10,377
Currency swap agreements	717	—	717	2,374	—	2,374
Interest rate swap agreements	—	—	—	7,754	—	7,754

Fair value hierarchy

The Trust values financial assets and financial liabilities carried at fair value using quoted closing market prices, where available. Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical financial assets or financial liabilities. When quoted market prices are not available, the Trust maximizes the use of observable inputs within valuation models. When all significant inputs are observable, the valuation is classified as Level 2. Valuations that require the significant use of unobservable inputs are considered Level 3. Valuations at this level are more subjective and, therefore, more closely managed. Such assessment has not indicated that any material difference would arise due to a change in input variables. The following table categorizes the inputs used in valuation methods for the Trust's financial liabilities measured under FVTPL:

As at	December 31, 2022			December 31, 2021		
	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3
Recurring measurements:						
Financial assets						
Fair value of total return swap agreements	—	137,526	—	—	46,869	—
Fair value of interest rate swap agreements	—	34,281	—	—	—	—
Financial liabilities						
Units classified as liabilities	—	211,497	—	—	254,223	—
Deferred unit plan	—	48,402	—	—	50,660	—
LTIP	—	580	—	—	697	—
EIP	—	16,204	—	—	10,377	—
Fair value of currency swap agreements	—	717	—	—	2,374	—
Fair value of interest rate swap agreements	—	—	—	—	7,754	—

Refer to Note 13, "Other financial liabilities", for a reconciliation of fair value measurements.

16. Unit equity

The following table presents the number of Units issued and outstanding and the related carrying value of Unit equity. The Limited Partnership Units are classified as non-controlling interests in the consolidated balance sheets and the consolidated statements of equity.

	Note	Number of Units Issued and Outstanding (#)			Carrying Value (\$)		
		Trust Units	Smart LP Units	Total Units	Trust Units	Smart LP Units	Total
Balance – January 1, 2021		144,618,657	25,502,085	170,120,742	3,090,188	640,206	3,730,394
Options exercised	4(d), 13(b)	—	66,603	66,603	—	1,738	1,738
Deferred Units exchanged for Trust Units	13(c)	6,665	—	6,665	198	—	198
Unit issuance costs		—	—	—	(18)	—	(18)
Balance – December 31, 2021		144,625,322	25,568,688	170,194,010	3,090,368	641,944	3,732,312
Balance – January 1, 2022		144,625,322	25,568,688	170,194,010	3,090,368	641,944	3,732,312
Options exercised	4(d), 13(b)	—	42,272	42,272	—	1,279	1,279
Unit issuance costs		—	—	—	(250)	—	(250)
Balance – December 31, 2022		144,625,322	25,610,960	170,236,282	3,090,118	643,223	3,733,341

Table A: Number of LP Units issued and outstanding

The following table presents the number and carrying values of LP Class B Units issued and outstanding:

LP Class B Unit Type	Class and Series	Balance – January 1, 2022	Options Exercised (Note 13(b))	Balance – December 31, 2022
Smart Limited Partnership	Class B Series 1	14,746,176	—	14,746,176
Smart Limited Partnership	Class B Series 2	957,822	—	957,822
Smart Limited Partnership	Class B Series 3	720,432	—	720,432
Smart Limited Partnership II	Class B	756,525	—	756,525
Smart Limited Partnership III	Class B Series 4	706,591	—	706,591
Smart Limited Partnership III	Class B Series 5	572,337	11,198	583,535
Smart Limited Partnership III	Class B Series 6	627,640	12,419	640,059
Smart Limited Partnership III	Class B Series 7	434,598	—	434,598
Smart Limited Partnership III	Class B Series 8	1,698,018	—	1,698,018
Smart Limited Partnership IV	Class B Series 1	3,093,910	18,655	3,112,565
Smart Oshawa South Limited Partnership	Class B Series 1	710,416	—	710,416
Smart Oshawa Taunton Limited Partnership	Class B Series 1	374,223	—	374,223
Smart Boxgrove Limited Partnership	Class B Series 1	170,000	—	170,000
		25,568,688	42,272	25,610,960

LP Class B Unit Type	Class and Series	Balance – January 1, 2021	Options Exercised (Note 13(b))	Balance – December 31, 2021
Smart Limited Partnership	Class B Series 1	14,746,176	—	14,746,176
Smart Limited Partnership	Class B Series 2	950,059	7,763	957,822
Smart Limited Partnership	Class B Series 3	720,432	—	720,432
Smart Limited Partnership II	Class B	756,525	—	756,525
Smart Limited Partnership III	Class B Series 4	705,420	1,171	706,591
Smart Limited Partnership III	Class B Series 5	572,337	—	572,337
Smart Limited Partnership III	Class B Series 6	596,288	31,352	627,640
Smart Limited Partnership III	Class B Series 7	434,598	—	434,598
Smart Limited Partnership III	Class B Series 8	1,698,018	—	1,698,018
Smart Limited Partnership IV	Class B Series 1	3,067,593	26,317	3,093,910
Smart Oshawa South Limited Partnership	Class B Series 1	710,416	—	710,416
Smart Oshawa Taunton Limited Partnership	Class B Series 1	374,223	—	374,223
Smart Boxgrove Limited Partnership	Class B Series 1	170,000	—	170,000
		25,502,085	66,603	25,568,688

Table B: Carrying values of LP Units

The following table presents the carrying values of LP Class B Units issued and outstanding:

LP Class B Unit Type	Class and Series	Balance – January 1, 2022	Value From Options Exercised (Note 13(b))	Balance – December 31, 2022
Smart Limited Partnership	Class B Series 1	347,675	—	347,675
Smart Limited Partnership	Class B Series 2	27,816	—	27,816
Smart Limited Partnership	Class B Series 3	16,836	—	16,836
Smart Limited Partnership II	Class B	17,680	—	17,680
Smart Limited Partnership III	Class B Series 4	17,217	—	17,217
Smart Limited Partnership III	Class B Series 5	15,356	315	15,671
Smart Limited Partnership III	Class B Series 6	15,124	392	15,516
Smart Limited Partnership III	Class B Series 7	11,668	—	11,668
Smart Limited Partnership III	Class B Series 8	48,732	—	48,732
Smart Limited Partnership IV	Class B Series 1	88,857	572	89,429
Smart Oshawa South Limited Partnership	Class B Series 1	20,441	—	20,441
Smart Oshawa Taunton Limited Partnership	Class B Series 1	11,033	—	11,033
Smart Boxgrove Limited Partnership	Class B Series 1	3,509	—	3,509
		641,944	1,279	643,223

LP Class B Unit Type	Class and Series	Balance – January 1, 2021	Value From Options Exercised (Note 13(b))	Balance – December 31, 2021
Smart Limited Partnership	Class B Series 1	347,675	—	347,675
Smart Limited Partnership	Class B Series 2	27,587	229	27,816
Smart Limited Partnership	Class B Series 3	16,836	—	16,836
Smart Limited Partnership II	Class B	17,680	—	17,680
Smart Limited Partnership III	Class B Series 4	17,183	34	17,217
Smart Limited Partnership III	Class B Series 5	15,356	—	15,356
Smart Limited Partnership III	Class B Series 6	14,344	780	15,124
Smart Limited Partnership III	Class B Series 7	11,668	—	11,668
Smart Limited Partnership III	Class B Series 8	48,732	—	48,732
Smart Limited Partnership IV	Class B Series 1	88,162	695	88,857
Smart Oshawa South Limited Partnership	Class B Series 1	20,441	—	20,441
Smart Oshawa Taunton Limited Partnership	Class B Series 1	11,033	—	11,033
Smart Boxgrove Limited Partnership	Class B Series 1	3,509	—	3,509
		640,206	1,738	641,944

a) Authorized Units

i) Trust Units (authorized – unlimited)

Each voting Trust Unit represents an equal undivided interest in the Trust. All Trust Units outstanding from time to time are entitled to participate pro rata in any distributions by the Trust and, in the event of termination or windup of the Trust, in the net assets of the Trust. All Trust Units rank among themselves equally and rateably without discrimination, preference or priority. Unitholders are entitled to require the Trust to redeem all or any part of their Trust Units at prices determined and payable in accordance with the conditions provided for in the Declaration of Trust. A maximum amount of \$50 may be redeemed in total in any one month unless otherwise waived by the Board of Trustees.

In accordance with the Declaration of Trust, distributions to Unitholders are declared at the discretion of the Trustees. The Trust endeavours to declare distributions in each taxation year in such an amount as is necessary to ensure that the Trust will not be subject to tax on its net income and net capital gains under Part I of the *Tax Act*.

The Trust is authorized to issue an unlimited number of Special Voting Units that will be used to provide voting rights to holders of securities exchangeable, including all series of Class B Smart LP Units, Class D Smart LP Units, Class B Smart LP II Units, Class B Smart LP III Units, Class B Smart LP IV Units, Class B Smart Oshawa South LP Units, Class D Smart Oshawa South LP Units, Class B Smart Oshawa Taunton Units, Class D Oshawa Taunton Units, Class B Smart Boxgrove LP Units, Class B ONR LP Units and Class B ONR LP I Units, into Trust Units. Special Voting Units are not entitled to any interest or share in the distributions or net assets of the Trust. Each Special Voting Unit entitles the holder to the number of votes at any meeting of Unitholders of the Trust that is equal to the number of Trust Units into which the exchangeable security is exchangeable or convertible. Special Voting Units are cancelled on the issuance of Trust Units on exercise, conversion or cancellation of the corresponding exchangeable securities.

As at December 31, 2022, there were 33,499,823 (December 31, 2021 – 33,457,551) Special Voting Units outstanding, which are associated with those LP Units that have voting rights. There is no value assigned to the Special Voting Units. These Special Voting Units are not entitled to any interest or share in the distributions or net assets of the Trust; nor are they convertible into any Trust securities.

Pursuant to the Voting Top-Up Right agreement made in December 2020 between the Trust and Penguin, which was approved by Unitholders, the following amendments were made: i) extension of the Voting Top-Up Right for five years, ending December 31, 2025, ii) extension of the designation of Units as Variable Voting Units until December 31, 2025, and iii) an increase to the alternative ownership threshold from 20,000,000 Units to 22,800,000 Units, including exchangeable LP Units. The total number of Special Voting Units is adjusted for each annual meeting of the Unitholders based on changes in Penguin's ownership interest (see also Note 22, "Related party transactions").

ii) *Limited Partnership Units (authorized – unlimited)*

The following tables summarize the Class A and Class B Limited Partnership Units:

Class A⁽¹⁾⁽²⁾	December 31, 2022	December 31, 2021
Smart Limited Partnership	80,715,971	75,062,169
Smart Limited Partnership II	284,178	281,892
Smart Limited Partnership III	14,365,691	12,556,688
Smart Limited Partnership IV	7,028,822	6,469,215
Smart Oshawa South Limited Partnership	3,168,190	3,168,190
Smart Oshawa Taunton Limited Partnership	637,895	637,895
SmartVMC West Limited Partnership	860,095	860,095
Smart Boxgrove Limited Partnership	397,438	397,438
ONR Limited Partnership	3,912,943,532	3,912,943,532
ONR Limited Partnership I	38,000,010	38,000,010
Class B⁽³⁾⁽⁴⁾	December 31, 2022	December 31, 2021
Classified as Equity		
Limited Partnership Units ⁽⁵⁾	25,610,960	25,568,688
Classified as Liabilities		
ONR Limited Partnership Class B ⁽⁶⁾	1,248,140	1,248,140
ONR Limited Partnership I Class B Series 1 ⁽⁶⁾	132,881	132,881
ONR Limited Partnership I Class B Series 2 ⁽⁶⁾	139,302	139,302

- (1) Entitled to all distributable cash of the LP after the required distributions on the other classes of Units have been paid; owned directly by the Trust and eliminated on consolidation.
- (2) At the meetings of the respective LP, Class A partners have 20 votes for each Class A Unit held with exception to Smart LP II, in which a Class A LP II partner has five votes for each Class A Unit held.
- (3) Non-transferable, except under certain limited circumstances; exchangeable into an equal number of Trust Units at the holder's option; entitled to receive distributions equivalent to the distributions on Trust Units; entitled to one Special Voting Unit, which will entitle the holder to receive notice of, attend and vote at all meetings of the Trust; considered to be economically equivalent to Trust Units.
- (4) Class B partners have one vote for each Class B Unit held at the meetings of the respective LPs.
- (5) Units have been presented as non-controlling interest. See further details in Table A above.
- (6) Units have been presented as liabilities.

The following table summarizes the Class C Limited Partnership Units:

Class C⁽¹⁾⁽²⁾	Series	December 31, 2022	December 31, 2021
Smart Limited Partnership	Series 1 ⁽³⁾	3,445,341	3,445,341
Smart Limited Partnership	Series 2 ⁽³⁾	3,019,186	3,019,186
Smart Limited Partnership	Series 3 ⁽³⁾	674,437	674,437
Smart Limited Partnership III	Series 4 ⁽⁴⁾	459,450	562,819
Smart Limited Partnership III	Series 5 ⁽⁴⁾	563,253	596,219
Smart Limited Partnership III	Series 6 ⁽⁴⁾	409,673	427,730
Smart Limited Partnership III	Series 7 ⁽⁴⁾	259,704	259,704
Smart Limited Partnership IV	Series 1 ⁽⁴⁾	375,758	397,543
Smart Oshawa South Limited Partnership	Series 1 ⁽⁴⁾	21,082	21,082
Smart Oshawa Taunton Limited Partnership	Series 1 ⁽⁴⁾	132,711	132,711
Smart Boxgrove Limited Partnership	Series 1 ⁽⁴⁾⁽⁵⁾	267,179	267,179
ONR Limited Partnership I	Series 2 ⁽⁴⁾	429,599	429,599

- (1) Entitled to receive 0.01% of any distributions of the LP and have nominal value assigned in the consolidated financial statements.
- (2) Class C partners have no votes at the meetings of the respective LPs.
- (3) At the holder's option, and on the completion and rental of additional space on specific properties and payment of a specific predetermined amount per Unit, Units are exchangeable into Class B Units of the respective LP, except for Class C Series 3 LP Units, which are exchangeable into Class F Series 3 LP Units.
- (4) At the holder's option, and on the completion and rental of additional space on specific properties and payment of a specific formula amount per Unit based on the market price of Trust Units, and exchangeable into Class B Units of the respective LP.
- (5) In August 2020, pursuant to the updated limited partnership agreement, there was a 3-for-1 Unit split of Class C Series 1 Smart Boxgrove LP Units, which resulted in 510,000 Class C Smart Boxgrove LP Units outstanding after the Unit split. Subsequent to the 3-for-1 Unit split and at the holder's option, 122,258 Class C Series 1 Smart Boxgrove LP Units were cancelled in exchange of 170,000 Class B Series 1 Smart Boxgrove LP Units, and 120,563 Class C Series 1 Smart Boxgrove LP Units were cancelled in exchange of 120,563 Class G Series 1 Units (see further details below in footnote 8).

The following table summarizes the Class D, Class E, Class F and Class G Limited Partnership Units:

Unit type	Class and Series	December 31, 2022	December 31, 2021
Smart Limited Partnership	Class D Series 1 ⁽¹⁾⁽⁵⁾⁽⁶⁾	311,022	311,022
Smart Limited Partnership	Class E Series 1 ⁽²⁾⁽³⁾⁽⁷⁾	16,704	16,704
Smart Limited Partnership	Class E Series 2 ⁽²⁾⁽³⁾⁽⁷⁾	800,000	800,000
Smart Limited Partnership	Class F Series 3 ⁽⁴⁾⁽⁵⁾⁽⁷⁾	8,708	8,708
Smart Oshawa South Limited Partnership	Class D Series 1 ⁽¹⁾⁽⁵⁾⁽⁶⁾	260,417	260,417
Smart Oshawa South Limited Partnership	Class E Series 1 ⁽²⁾⁽³⁾⁽⁷⁾	5,503	5,503
Smart Oshawa Taunton Limited Partnership	Class E Series 1 ⁽²⁾⁽³⁾⁽⁷⁾	132,711	132,711
SmartVMC West Limited Partnership	Class D Series 1 ⁽¹⁾⁽⁵⁾	3,623,188	3,623,188
SmartVMC West Limited Partnership	Class D Series 2 ⁽¹⁾⁽⁵⁾	2,173,913	2,173,913
Smart Boxgrove Limited Partnership	Class G Series 1 ⁽³⁾⁽⁷⁾⁽⁸⁾	120,563	120,563

(1) Non-transferable, except under certain limited circumstances; exchangeable into an equal number of Trust Units at the holder's option; entitled to receive distributions equivalent to the distributions on Trust Units; entitled to one Special Voting Unit, which will entitle the holder to receive notice of, attend, and vote at all meetings of the Trust; considered to be economically equivalent to Trust Units; Units owned by outside parties have been presented as liabilities.

(2) At the holder's option, and on the completion and rental of additional space on specific properties and payment of a specific formula amount per Unit based on the market price of Trust Units, and exchangeable into Class D Units of the respective LP.

(3) Entitled to receive 0.01% of any distributions of the LP and have nominal value assigned in the consolidated financial statements.

(4) Entitled to 65.5% of the distribution on Trust Units and exchangeable for \$20.10 in cash per Unit or on the completion and rental of additional space on specific properties.

(5) Units have been presented as liabilities.

(6) Class D partners have one vote for each Class D Unit held at the meetings of the respective LPs.

(7) Class E, F and G partners have no votes at the meetings of the respective LPs.

(8) Class G Series 1 Smart Boxgrove LP Units represent a new class of units that were issued in August 2020 as part of the 120,563 Class C Series 1 Smart Boxgrove LP Units exchange discussed in Class C table above (see footnote 5). Concurrent with this issuance, Smart Boxgrove LP issued a loan receivable to the holders of Class G Series 1 Smart Boxgrove LP Units (as discussed in Note 6(b)). The holders of Class G Series 1 Smart Boxgrove LP Units have the right to receive a distribution equal to the loan amount and, as such, the Trust has recorded a distribution payable presently reflected in Other payables in the consolidated financial statements (see also, Note 14 "Accounts and other payables"). Subsequent to this distribution, Smart Boxgrove LP is entitled to redeem all Class G Series 1 Units outstanding for an amount equal to the nominal value assigned to them.

b) Trust Units issued for cash

During the year ended December 31, 2022, no Trust Units were issued for cash (Trust Units issued for cash for the year ended December 31, 2021 – nil).

c) Normal Course Issuer Bid

The Trust renewed a normal course issuer bid ("NCIB") program on March 31, 2021 with acceptance by the TSX. The NCIB program terminated on March 30, 2022. Under the NCIB program, the Trust is authorized to purchase up to 12,935,063 (previously 6,500,835) of its Trust Units representing approximately 10% (previously 5%) of the public float as at March 21, 2021 (previously March 23, 2020) by way of normal course purchases effected through the facilities of the TSX and/or alternative Canadian trading systems. All Trust Units purchased by the Trust will be cancelled.

During the year ended December 31, 2022, the Trust did not purchase for cancellation any Trust Units under the NCIB (Trust Units purchased for cancellation for the year ended December 31, 2021 – nil).

17. Unit distributions

Pursuant to the Declaration of Trust, the Trust endeavours to distribute annually such amount as is necessary to ensure the Trust will not be subject to tax on its net income under Part I of the *Tax Act*. The following table presents Unit distributions declared:

		Year Ended December 31	
Unit Type Subject to Distributions	Class and Series	2022	2021
Distributions on Units classified as equity:			
Trust Units	N/A	267,563	267,552
Distributions on Limited Partnership Units			
Smart Limited Partnership	Class B Series 1	27,281	27,281
Smart Limited Partnership	Class B Series 2	1,772	1,765
Smart Limited Partnership	Class B Series 3	1,333	1,333
Smart Limited Partnership II	Class B	1,400	1,400
Smart Limited Partnership III	Class B Series 4	1,307	1,306
Smart Limited Partnership III	Class B Series 5	1,064	1,059
Smart Limited Partnership III	Class B Series 6	1,184	1,156
Smart Limited Partnership III	Class B Series 7	804	804
Smart Limited Partnership III	Class B Series 8	3,141	3,141
Smart Limited Partnership IV	Class B Series 1	5,756	5,716
Smart Boxgrove Limited Partnership	Class B Series 1	315	315
Smart Oshawa South Limited Partnership	Class B Series 1	1,314	1,314
Smart Oshawa Taunton Limited Partnership	Class B Series 1	692	692
Total distributions on Limited Partnership Units		47,363	47,282
Distributions on other non-controlling interest	N/A	282	420
Distributions on Units classified as equity		315,208	315,254
Distributions on Units classified as liabilities:			
Smart Limited Partnership	Class D Series 1	575	575
Smart Limited Partnership	Class F Series 3	11	11
Smart Oshawa South Limited Partnership	Class D Series 1	482	482
ONR Limited Partnership	Class B	2,309	2,309
ONR Limited Partnership I	Class B Series 1	246	246
ONR Limited Partnership I	Class B Series 2	258	258
Smart VMC West Limited Partnership	Class D Series 1 and 2	10,725	38
Distributions on Units classified as liabilities		14,606	3,919
Total Unit distributions		329,814	319,173

On January 17, 2023, the Trust declared a distribution for the month of January 2023 of \$0.15417 per Unit, representing \$1.85 per Unit on an annualized basis, to Unitholders of record on January 31, 2023.

18. Rentals from investment properties and other

The following table presents rentals from investment properties and other:

	Year Ended December 31	
	2022	2021
Gross base rent	515,110	502,504
Less: Amortization of tenant incentives	(7,087)	(7,512)
Net base rent	508,023	494,992
Property tax and insurance recoveries	171,874	169,180
Property operating cost recoveries	93,407	83,852
	265,281	253,032
Miscellaneous revenue	15,393	17,891
Rentals from investment properties	788,697	765,915
Service and other revenues ⁽¹⁾	14,652	14,843
Earnings from other	1,249	38
Rentals from investment properties and other	804,598	780,796

(1) For the year ended December 31, 2022, service and other revenues included \$12,904 relating to the recovery of costs and billed as fees associated with the Development and Services Agreement with Penguin (year ended December 31, 2021 – \$12,872). See also Note 19, "Property operating costs and other" and Note 22, "Related party transactions".

The following table summarizes the future contractual minimum base rent payments under non-cancellable operating leases expected from tenants in investment properties:

As at	December 31, 2022	December 31, 2021
2022	—	485,283
2023	503,014	427,676
2024	436,753	355,231
2025	365,162	287,942
2026	299,049	224,936
2027	235,407	166,100
Thereafter	502,240	356,809

19. Property operating costs and other

The following table summarizes property operating costs and other:

	Year Ended December 31	
	2022	2021
Recoverable property operating costs ⁽¹⁾	279,597	267,707
Property management fees and costs	4,288	1,469
Expected credit loss/(recovery)	(3,448)	3,652
Non-recoverable costs	6,465	7,246
Property operating costs	286,902	280,074
Residential inventory marketing costs	435	40
Other expenses relating to service and other revenues ⁽²⁾	14,657	14,842
Other expenses	15,092	14,882
Property operating costs and other	301,994	294,956

(1) Includes recoverable property tax and insurance costs.

(2) Relate to service and other revenues as disclosed in Note 18, "Rentals from investment properties and other".

20. General and administrative expense, net

The following table summarizes general and administrative expense, net:

	Note	Year Ended December 31	
		2022	2021
Salaries and benefits		73,607	66,345
Services fee – to Penguin	22	7,416	7,062
Professional fees		6,172	6,338
Public company costs		1,343	1,681
Amortization of intangible assets	9	1,332	1,331
Other costs including office rent, information technology, marketing, communications, and other employee expenses		11,134	12,248
Subtotal		101,004	95,005
Previously capitalized general and administrative expenses on completed developments		60	1,050
Previously capitalized general and administrative expenses on sale of real estate assets		332	946
Total general and administrative expense before allocation		101,396	97,001
Less:			
Capitalized to properties under development and other assets		(35,394)	(36,465)
Allocated to property operating costs		(18,558)	(15,434)
Recoverable costs billed to Penguin and others		(14,175)	(13,180)
Total amounts capitalized, allocated and charged		(68,127)	(65,079)
General and administrative expense, net		33,269	31,922

21. Supplemental cash flow information

The following table presents items not affecting cash and other items relating to the Trust's operating activities:

	Note	Year Ended December 31	
		2022	2021
Fair value adjustments	26	(293,080)	(457,301)
Gain on sale of investment properties		(315)	(27)
Earnings from equity accounted investments	5	(4,199)	(211,420)
Interest expense	12(d)	148,702	144,540
Other financing costs		(1,813)	(1,146)
Interest income		(18,036)	(12,341)
Amortization of other assets and intangible assets		10,310	12,464
Lease obligation interest		578	565
Deferred unit compensation expense, net of redemptions	13	204	2,971
LTIP and EIP amortization, net of payment	13	3,010	1,894
		(154,639)	(519,801)

The following table presents changes in other non-cash operating items:

	Note	Year Ended December 31	
		2022	2021
Amounts receivable and other	11	(7,582)	9,102
Prepaid expenses, deposits and deferred financing costs	11	(2,185)	(3,847)
Accounts payable	14	8,074	1,175
Realty taxes payable	14	(247)	(1,771)
Tenant prepaid rent, deposits and other payables, and residential sales deposits	14	1,222	31,313
Other working capital changes		(7,299)	3,268
		(8,017)	39,240

The following table presents the Trust's non-cash investing and financing activities:

Non-cash investing and financing activities	Note	Year Ended December 31	
		2022	2021
Mortgage assumed on acquisition	3	—	13,076
Total return swap receivable	8	137,526	46,869
Unit issued under DUP	13(c)	—	198
Units issued on acquisition	3	1,279	182,974
Liabilities assumed on acquisition, net of other assets	3	1,756	12,315
Distributions payable at year end	14	26,569	26,600
Total return swap debt	12	143,232	42,191

The following table presents the composition of the Trust's cash and cash equivalents:

As at	December 31, 2022	December 31, 2021
Cash	35,255	62,235
Cash and cash equivalents	35,255	62,235

22. Related party transactions

Transactions with related parties are conducted in the normal course of operations.

The following table presents Units owned by Penguin (the Trust's largest Unitholder) as at December 31, 2022, which in total represent approximately 20.8% of the issued and outstanding Units (December 31, 2021 – 20.8%) of the Trust:

Type	Class	Units owned by Penguin	
		December 31, 2022	December 31, 2021
Trust Units	N/A	15,076,163	15,032,063
Smart Limited Partnership	Class B Series 1	12,488,816	12,488,816
Smart Limited Partnership	Class B Series 2	375,313	375,313
Smart Limited Partnership	Class B Series 3	720,432	720,432
Smart Limited Partnership	Class F Series 3	8,708	8,708
Smart Limited Partnership III	Class B Series 4	706,591	706,591
Smart Limited Partnership III	Class B Series 5	583,535	572,337
Smart Limited Partnership III	Class B Series 6	640,059	627,640
Smart Limited Partnership III	Class B Series 7	434,598	434,598
Smart Limited Partnership III	Class B Series 8	1,698,018	1,698,018
Smart Limited Partnership IV	Class B Series 1	2,873,132	2,858,950
Smart Oshawa South Limited Partnership	Class B Series 1	630,880	630,880
Smart Oshawa Taunton Limited Partnership	Class B Series 1	374,223	374,223
Smart Boxgrove Limited Partnership	Class B Series 1	170,000	170,000
ONR Limited Partnership I	Class B Series 1	132,881	132,881
ONR Limited Partnership I	Class B Series 2	139,302	139,302
Units owned by Penguin		37,052,651	36,970,752
		Year Ended December 31, 2022	Year ended December 31, 2021
Distributions declared to Penguin (in thousands of dollars)		68,471	68,372

Pursuant to the Declaration of Trust, provided certain ownership thresholds are met, the Trust is required to issue or cancel such number of additional Special Voting Units to Penguin that will entitle Penguin to cast 25.0% of the aggregate votes eligible to be cast at a meeting of the Unitholders and Special Voting Unitholders ("Voting Top-Up Right"). As at December 31, 2022, there were 10,053,123 additional Special Voting Units outstanding (December 31, 2021 – 8,163,976). These Special Voting Units are not entitled to any interest or share in the distributions or net assets of the Trust, nor are they convertible into any Trust securities. There is no value assigned to the Special Voting Units. A five-year extension of the Voting Top-Up Right was approved by Unitholders at the Trust's annual general and special meeting held on December 9, 2020. For further details, see the Trust's management information circular dated November 6, 2020, filed on the System for Electronic Document Analysis and Retrieval ("SEDAR").

The following table presents those Units which Penguin has Earnout options to acquire, upon completion of Earnout events:

Type	Class and Series	December 31, 2022	December 31, 2021
Trust Units	N/A	1,286,833	1,286,833
Smart Limited Partnership	Class B Series 1	1,337,449	1,337,449
Smart Limited Partnership	Class B Series 2	3,019,186	3,019,186
Smart Limited Partnership	Class B Series 3	674,437	674,437
Smart Limited Partnership III	Class B Series 4	459,450	562,819
Smart Limited Partnership III	Class B Series 5	563,253	596,219
Smart Limited Partnership III	Class B Series 6	409,673	427,730
Smart Limited Partnership III	Class B Series 7	259,704	259,704
Smart Limited Partnership IV	Class B Series 1	353,135	369,472
Smart Oshawa South Limited Partnership	Class B Series 1	18,983	18,983
Smart Oshawa Taunton Limited Partnership	Class B Series 1	132,711	132,711
Smart Boxgrove Limited Partnership	Class B Series 1	267,179	267,179
ONR Limited Partnership I	Class B Series 2	429,599	429,599
		9,211,592	9,382,321

At December 31, 2022, Penguin's ownership would increase to 24.6% (December 31, 2021 – 24.6%) if Penguin were to exercise all remaining Earnout options.

Pursuant to its rights under the Declaration of Trust, at December 31, 2022, Penguin has appointed two Trustees out of eight.

The other non-controlling interest, which is included in equity, represents a 5.0% equity interest by Penguin in five consolidated investment properties.

The Trust entered into various agreements with Penguin in November 2020 coincident with the extension of the term of the Voting Top-Up Right. For further details, see the Trust's management information circular dated November 6, 2020, filed on SEDAR and below.

Supplement to Development Services Agreement between the Trust and its Affiliates and Penguin

The following represent the key elements of this agreement which is effective from July 1, 2020 until December 31, 2025:

- a) Penguin shall be reimbursed for 50% of disposition fees otherwise payable pursuant to the Development Services Agreement related to Penguin's interest in properties sold by the Trust,
- b) for future SmartVMC commercial phases and certain properties currently owned by Penguin (for which the Trust has historically assisted with development and planning requirements), all development fees are payable to Penguin and all other fees (management, leasing, etc.) are payable to the Trust,
- c) when Penguin utilizes employees of the Trust to assist with its development projects, Penguin will pay for these services provided by employees of the Trust based on annual estimates of time billings related to these projects, charged at estimated total cost, including compensation,
- d) for a property owned by a third party which is managed by Penguin in Richmond, British Columbia, the Trust will be paid 50% of the management and leasing fees, and 100% of costs associated with the Trust's employees/personnel who service this particular property,
- e) for Penguin's 50% interest in a property in Toronto co-owned with Revera to develop a retirement home, Penguin will pay 50% of the development fees it earns to the Trust for the development services provided by the Trust, and
- f) the Trust will continue to manage and develop all other Penguin properties.

Support services are provided for a fee based on an allocation of the Trust's relevant costs of the support services to Penguin. Such relevant costs include: office administration, human resources, information technology, insurance, legal and marketing.

Penguin Services Agreement

The amended and restated services agreement entered into on November 5, 2020 (the "Penguin Services Agreement"), and effective from February 2018 reflects the additional services provided by Penguin since that time. Under the agreement, Penguin provides specified services to the Trust in connection with the development of its projects. In return for those services, Penguin is entitled to receive: i) a fixed quarterly fee of \$1,000 (subject to inflation-related increments after 2018) and ii) an annual variable fee between \$1,500 and \$3,500 (also inflation-adjusted after 2018) that is based on the achievement of the Trust-level targets for "New Development Initiatives" and "New Projects" that the Trust uses to measure the performance of its executive officers and other annual targets (other than such Trust-level targets) of a similar nature that the Trust uses to measure the performance of its executive officers as determined by the Board of Trustees from time to time.

Omnibus Agreement between the Trust and Penguin

Effective December 9, 2020, pursuant to an omnibus agreement between the Trust and Penguin (the "Omnibus Agreement"), Penguin has the option to extend all Earnouts by two years from the previous expiry date, and the Trust has been given a right of first offer in connection with the sale of the economic and financial benefits and rights of any such development parcel during any extended period. In addition, this agreement provides for the payment of certain outstanding amounts between the parties.

Mezzanine Loan Amending Agreements between the Trust and its Affiliates and Penguin

Effective November 5, 2020, all loan maturity dates have been extended to August 31, 2028, with a new rate structure for the extension period of each mortgage receivable (see also Note 6, "Mortgages, loans and notes receivable"). The Trust's purchase option periods have been extended and because these properties may now be subject to mixed-use development projects, the agreements provide that the parties establish a new framework for the purchase options for the Trust related to mixed-use development.

Non-Competition Agreement

Effective November 2020, a non-competition agreement with Penguin replaced and superseded the previous non-competition agreement extending the term by five years and broadening restricted competing initiatives to include various forms of mixed-use development.

Executive Employment Agreement

This agreement confirms Mr. Goldhar's position as Executive Chairman of the Trust for the period from February 14, 2018 to December 31, 2025, for which Mr. Goldhar receives a salary, bonus, customary benefits, and is eligible to participate in the Trust's Deferred Unit Plan and the Equity Incentive Plan (see below).

Equity Incentive Plan

In January 2021, the Trust granted 900,000 performance units to Mitchell Goldhar pursuant to the EIP adopted by Unitholders effective December 9, 2020, which are subject to the achievement of Unit price thresholds. The performance period for this award granted under the EIP is from January 1, 2021 to December 31, 2027. The vesting period for these performance units will commence on the date that the applicable performance measure is achieved, and will end on the earlier of the third anniversary of the date that the applicable performance period is achieved and the end of the performance period. Distributions on these performance units will accumulate from January 1, 2021. Provided the various performance measures are achieved, the performance units will be exchanged for Trust Units or paid out in cash. See also Note 13, "Other financial liabilities".

Related party transactions and balances are also disclosed elsewhere in these consolidated financial statements, which include:

- Note 3(c) referring to the purchase of Earnouts
- Note 4(c) referring to Leasehold property interests
- Note 5(a)(ii) referring to a Supplemental Development Fee Agreement
- Note 6 referring to Mortgages, loans and notes receivable
- Note 7 referring to Other assets
- Note 11 referring to Amounts receivable and other
- Note 13 referring to Other financial liabilities
- Note 14 referring to Accounts and other payables (including future land development obligations)
- Note 18 referring to Rentals from investment properties and other
- Note 19 referring to Property operating costs and other, and
- Note 20 relating to General and administrative expense, net.

The following table summarizes related party transactions and balances with Penguin and other related parties, including amounts relating to the Trust's share in equity accounted investments:

		Year Ended December 31	
	Note	2022	2021
Related party transactions with Penguin			
Acquisitions and Earnouts:			
Earnouts		9,210	16,274
Revenues:			
Service and other revenues:			
Management fee and other services revenue pursuant to the Development and Services Agreement		3,670	6,309
Supplement to the Development Services Agreement fees – time billings		8,042	5,097
Support services		1,192	1,466
	18	12,904	12,872
Interest income from mortgages and loans receivable	6	7,857	6,209
Rents and operating cost recoveries included in rentals from income properties (includes rental income from Penguin Pick-Up of \$355 (year ended December 31, 2021 – \$271))		893	828
		21,654	19,909
Expenses and other payments:			
Fees paid – capitalized to properties under development	20	7,416	7,062
EIP – capitalized to properties under development		5,182	5,198
Development fees and interest expense (capitalized to investment properties)		354	115
Opportunity fees capitalized to properties under development ⁽¹⁾		60	1,839
Marketing, time billings and other administrative costs (included in general and administrative expense and property operating costs)		76	84
Disposition fees (included in general and administrative expense)		612	979
Expenditures on tenant inducement		—	77
		13,700	15,354
Related party transactions with PCVP			
Revenues:			
Interest income from mortgages and loans receivable	6	1,318	1,935
Expenses and other payments:			
Rent and operating costs (included in general and administrative expense and property operating costs)	19, 20	2,720	2,625

(1) These amounts include prepaid land costs that will offset the purchase price of future Earnouts.

As at	Note	December 31, 2022	December 31, 2021
Related party balances with Penguin disclosed elsewhere in the financial statements			
Receivables:			
Amounts receivable and other ⁽¹⁾	11	18,734	14,953
Mortgages receivable	6(a)	39,456	139,589
Loans receivable	6(b)	100,280	116,966
Notes receivable	6(c)	2,924	2,924
Total receivables		161,394	274,432
Payables and other accruals:			
Accounts payable and accrued liabilities	14	3,504	3,370
Future land development obligations	14	17,646	18,931
Total payables and other accruals		21,150	22,301

(1) Excludes amounts receivable presented below as part of balances with equity accounted investments. This amount includes amounts receivable of \$11,899 and other of \$6,835 (December 31, 2021 – \$6,966 and other of \$7,987).

The following table summarizes the related party balances with the Trust's equity accounted investments:

As at	Note	December 31, 2022	December 31, 2021
Related party balances disclosed elsewhere in the financial statements			
Amounts receivable ⁽¹⁾	11	616	581
Loans receivable ⁽²⁾	6(b)	164,628	139,152
Other unsecured debt ⁽³⁾	12(b)(iv)	141,131	195,562

(1) Amounts receivable includes Penguin's portion, which represents \$29 (December 31, 2021 – \$4) relating to Penguin's 50% investment in the PCVP and 50% in Residences (One) LP.

(2) Loans receivable includes Penguin's portion, which represents \$24,266 (December 31, 2021 – \$23,607) relating to Penguin's 50% investment in the PCVP.

(3) Other unsecured debt includes Penguin's portion, which represents \$163 (December 31, 2021 – \$6,243) relating to Penguin's 25% investment in the Residences LP.

Other related party transactions

The following table summarizes other related party transactions:

	Year Ended December 31	
	2022	2021
Legal fees incurred from a law firm in which a partner is a Trustee:		
Capitalized to investment properties	1,919	2,628
Included in general and administrative expense	846	2,129
	2,765	4,757

23. Key management and Trustees' compensation

Key management personnel are those individuals having authority and responsibility for planning, directing and controlling the activities of the Trust, directly or indirectly. Currently, the Trust's key management personnel include the Executive Chairman and Chief Executive Officer (see also Note 22, "Related party transactions"), Chief Financial Officer, Executive Vice President – Portfolio Management and Investments, and two Executive Vice Presidents of Development. In addition, the Trustees have oversight responsibility for the Trust.

The following table presents the compensation relating to key management:

	Year Ended December 31	
	2022	2021
Salaries and other short-term employee benefits	2,720	3,278
Deferred unit plan	2,936	3,706
EIP	5,477	10,157
LTIP	(116)	160
	11,017	17,301

The following table presents the compensation relating to Trustees:

	Year Ended December 31	
	2022	2021
Trustees' fees	677	748
Deferred unit plan	677	748
	1,354	1,496

24. Co-owned property interests

The Trust has the following co-owned property interests and includes in these consolidated financial statements its proportionate share of the related assets, liabilities, revenues and expenses of these properties, as presented in the table below:

As at	December 31, 2022		December 31, 2021	
	Number of Co-owned Properties ⁽¹⁾	Ownership Interest (%)	Number of Co-owned Properties ⁽¹⁾	Ownership Interest (%)
Income properties ⁽²⁾	15	40 – 60	18	40 – 60
Properties under development	4	25 – 67	4	25 – 67
Mixed-use	1	67	1	67
Residential development	2	50	2	50
Total	22		25	

(1) Penguin is a co-owner of eight investment properties, consisting of four properties under development, three income properties and one mixed-use property (December 31, 2021 – eight investment properties, consisting of four properties under development, three income properties and one mixed-use property) (see also Note 22, "Related party transactions").

(2) During the year ended December 31, 2022, the Trust acquired an additional 50% interest in three previously co-owned income properties.

The following amounts presented in the table below, included in these consolidated financial statements, represent the Trust's proportionate share of the assets and liabilities of the 22 co-owned property interests as at December 31, 2022 (25 co-ownership property interests at December 31, 2021).

As at	December 31, 2022	December 31, 2021
Assets ⁽¹⁾⁽²⁾	2,084,066	2,119,018
Liabilities	184,993	351,725

(1) Includes cash and cash equivalents of \$37,275 (December 31, 2021 – \$30,713).

(2) Includes the Trust's proportionate share of the investment properties classified as held for sale of \$42,321 (December 31, 2021 – \$nil).

The following table summarizes the results of operations and cash flows of the Trust's co-owned property interests:

	Year Ended December 31	
	2022	2021
Revenues	94,033	96,225
Expenses	40,067	45,732
Net income before fair value adjustment	53,966	50,493
Fair value adjustment on revaluation of investment properties	41,603	149,171
Net income and comprehensive income	95,569	199,664
Cash flows provided by operating activities	55,963	54,136
Cash flows used in financing activities	(148,691)	(66,226)
Cash flows provided by investing activities	99,389	14,276

Management believes the assets of the co-owned property interests are sufficient for the purpose of satisfying the associated obligations of the co-owned property interests.

25. Segmented information

As at December 31, 2022, the Trust has one reportable segment, which comprises the development, ownership, management and operation of investment properties located in Canada. In measuring performance, the Trust does not distinguish or group its operations on a geographical or any other basis and, accordingly, has a single reportable segment for disclosure purposes.

The Trust's major tenant is Walmart, accounting for 25.2% of the Trust's annualized rentals from investment properties for the year ended December 31, 2022 (year ended December 31, 2021 – 25.2%).

26. Fair value adjustments

The following table summarizes the fair value adjustments:

	Note	Year Ended December 31	
		2022	2021
Investment properties			
Income properties	4	(54,122)	107,416
Properties under development	4	255,956	384,112
Fair value adjustment on revaluation of investment properties		201,834	491,528
Financial instruments			
Total return swap receivable	8	(4,918)	5,642
Units classified as liabilities	13(a)	42,726	(24,508)
Deferred unit plan	13(c)	8,920	(13,824)
Long term incentive plan	13(d)	397	808
Equity incentive plan	13(e)	2,085	(3,250)
Interest rate swap agreements	8, 13	42,036	905
Fair value adjustment on financial instruments		91,246	(34,227)
Total fair value adjustments		293,080	457,301

27. Risk management

a) Financial risks

The Trust's activities expose it to a variety of financial risks, including interest rate risk, credit risk and liquidity risk. The Trust's overall financial risk management focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Trust's financial performance. The Trust may use derivative financial instruments to hedge certain risk exposures.

i) Interest rate risk

A significant proportion of the Trust's debt is financed at fixed rates with maturities staggered over a number of years, thereby mitigating its exposure to changes in interest rates and financing risks. At December 31, 2022, approximately 24.98% (December 31, 2021 – 8.59%) of the Trust's debt is financed at variable rates, of which 10.04% is subject to interest rate swap agreements with fixed interest rates. The remaining variable rate debt (14.94% of total debt) not subject to interest rate swap agreements represents the Trust's exposure to changes in interest rates on such debt.

The Trust analyzes its interest rate exposure on a regular basis. The Trust monitors the historical movement of 10-year Government of Canada bonds and performs a sensitivity analysis to identify the possible impact on net income of an interest rate shift. The simulation is performed on a regular basis to ensure the maximum loss potential is within the limit acceptable to management. Management performs the simulation for secured debt, unsecured debt, revolving operating facilities, and mortgages and loans receivable:

Change in interest rate of:	-1.50%	-1.00%	-0.50%	+0.50%	+1.00%	+1.50%
Net income increase (decrease) from variable-rate debt	11,170	7,446	3,723	(3,723)	(7,446)	(11,170)
Net income increase (decrease) from variable-rate mortgages and loans receivable	(2,773)	(1,849)	(924)	924	1,849	2,773

The Trust is managing risks arising from the interest rate benchmark reform through: i) managing the maturities of its debt agreements, ii) designating successor rates, and iii) holding onto CDOR and LIBOR rates for as long as practicable, prior to transitioning its financial and debt instruments to successor rates.

From time to time, the Trust may enter into interest rate swaps as part of its strategy for managing certain interest rate risks. The Trust recognizes any change in fair value associated with interest rate swap agreements in the consolidated statements of income and comprehensive income.

The sensitivity analysis in the table below reflects the fair value gain (loss) on interest rate swap agreements from possible changes in interest rates.

Change in interest rate of:	-1.50%	-1.00%	-0.50%	+0.50%	+1.00%	+1.50%
Fair value gain (loss) on interest rate swap agreements	(36,700)	(23,816)	(11,075)	13,991	26,324	38,527

The Trust's exposure to interest rate risk is monitored by management on a regular basis (see also Note 12, "Debt").

ii) Credit risk

Credit risk arises from cash and cash equivalents, as well as credit exposures with respect to mortgages and loans receivable (see also Note 6, "Mortgages, loans and notes receivable") and tenant receivables (see also Note 11, "Amounts receivable and other, deferred financing costs, and prepaid expenses and deposits"). Tenants may experience financial difficulty and become unable to fulfil their lease commitments. The Trust mitigates this risk of credit loss by reviewing tenants' covenants, by ensuring its tenant mix is diversified and by limiting its exposure to any one tenant except Walmart. Further risks arise in the event that borrowers of mortgages and loans receivable default on the repayment of amounts owing to the Trust. The Trust endeavours to ensure adequate security has been provided in support of mortgages and loans receivable. The Trust limits cash transactions to high-credit-quality financial institutions to minimize its credit risk from cash and cash equivalents.

The ECL model requires an entity to measure the loss allowance for a financial instrument at an amount equal to the lifetime ECL if the credit risk on that financial instrument has increased significantly since initial recognition or at an amount equal to 12-month expected credit losses if the credit risk on that financial instrument has not increased significantly since initial recognition. The Trust uses a provision matrix based on historical credit loss experiences to estimate 12-month expected credit losses as the Trust has deemed the risk of credit loss has not increased significantly for both mortgages and loans receivable (see also Note 6, "Mortgages, loans and notes receivable") and tenant receivables (see also Note 11, "Amounts receivable and other, deferred financing costs, and prepaid expenses and deposits"). Credit risks for both have been mitigated by various measures including ensuring adequate security has been provided in support of mortgages and loans receivable and reviewing tenant's covenants, ensuring its tenant mix is diversified and by limiting its exposure to any one tenant except Walmart for tenant receivables. However, the

assumptions and estimates underlying the manner in which ECLs have been implemented historically may not be appropriate in the current economic environment, including but not limited to the inflationary environment, rising interest rates, etc. Accordingly, the Trust has not applied its existing ECL methodology mechanically. Instead, during the current economic environment, the Trust has been in discussions with tenants on a case-by-case basis to determine optimal rent payment solutions and has incorporated this available, reasonable and supportable information when estimating ECL on tenant receivables.

iii) Liquidity risk

Liquidity risk management implies maintaining sufficient cash and the availability of funding through an adequate amount of committed credit facilities and the ability to lease out vacant units. In the next 12 months, \$720,400 of liabilities (including \$459,278 of secured and unsecured debt and \$261,122 of accounts and other payable amounts) will mature and will need to be settled by means of renewal or payment.

The Trust aims to maintain flexibility and opportunities in funding by keeping committed credit lines available, obtaining additional mortgages as the value of investment properties increases, issuing equity or unsecured debentures. The Trust's ability to meet its financial obligations as they become due represents the Trust's exposure to liquidity risk. It is management's intention to either repay or refinance maturing liabilities with newly issued secured or unsecured debt, equity or, in certain circumstances not expected to occur frequently, the disposition of certain assets. Any net working capital deficiencies are funded with the Trust's existing revolving operating facilities. As at December 31, 2022, the Trust had: a) cash and cash equivalents of \$35,255; b) the remaining funds available to be drawn from its \$650,000 in operating facilities and its \$250,000 accordion feature; c) project-specific financing arrangements; and d) \$8,415,900 in unencumbered assets that could be used to obtain additional secured financing to assist with its liquidity requirements.

The key assumptions used in the Trust's estimates of future cash flows when assessing liquidity risk are: the renewal or replacement of the maturing revolving operating facilities, secured debt and unsecured debentures, at reasonable terms and conditions in the normal course of business and no major bankruptcies of principal tenants. Management believes that it has considered all reasonable facts and circumstances in forming appropriate assumptions.

The Trust's liquidity position is monitored by management on a regular basis. A schedule of principal repayments on secured debt and other debt maturities is disclosed in Note 12, "Debt".

iv) Currency risk

The Trust has drawn funds in U.S. dollars, and is exposed to currency risk in the fluctuation of the Canadian dollar to U.S. dollar exchange rate when the liabilities are repaid. At December 31, 2022, approximately 1.49% (December 31, 2021 – 3.05%) of the Trust's debt is financed in U.S. dollar borrowings.

The Trust analyzes its exchange rate exposure on a regular basis. From time to time, the Trust may enter into currency swaps as part of its strategy for managing certain currency risks. The Trust recognizes any change in fair value associated with currency swap agreements in the consolidated statements of income and comprehensive income. As currency gains or losses on the Trust's debt are offset by fair value gains or losses in the currency swap agreements, the Trust is not exposed to significant currency risk on a net basis.

The Trust's exposure to currency risk is monitored by management on a regular basis (see also Note 12, "Debt").

b) Capital risk management

The Trust defines capital as the aggregate amount of Unitholders' equity, debt and Units classified as liabilities. The Trust's primary objectives when managing capital are: i) to safeguard the Trust's ability to continue as a going concern so that it can continue to provide returns for Unitholders; and ii) to ensure the Trust has access to sufficient funds for operating, acquisitions (including Earnouts) and development activities.

The Trust sets the amount of capital in proportion to risk. The Trust manages its capital structure and makes adjustments to it in light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the Trust may adjust the amount of distributions paid to Unitholders, issue new Units and debt, or sell assets to reduce debt or fund operating, acquisition and development activities.

The Trust anticipates meeting all current and future obligations. Management expects to finance operating, future acquisitions, mortgages receivable, development costs and maturing debt from: i) existing cash balances; ii) a mix of debt secured by investment properties, operating and credit facilities, issuance of equity and unsecured debentures; and iii) the sale of non-core assets. Cash flows generated from operating activities is the source of liquidity to service debt (except maturing debt), sustaining capital expenditures, leasing costs and Unit distributions.

The Trust monitors its capital structure based on the following ratios: interest coverage ratio, debt to total assets and debt to total earnings before interest, taxes, depreciation and amortization and fair value changes associated with investment

properties and financial instruments. These ratios are used by the Trust to manage an acceptable level of leverage and are not considered measures in accordance with IFRS, nor are there equivalent IFRS measures.

The following table shows the significant financial covenants that the Trust is required, pursuant to the terms of its revolving operating facilities and other credit facilities, to maintain:

Financial covenants	Threshold
Debt as a percentage of total aggregate assets	≤ 65%
Secured debt as a percentage of aggregate assets	≤ 40%
Fixed charge coverage multiple	≥ 1.5X
Unencumbered assets to unsecured debt multiple	≥ 1.3X
Minimum Unitholders' equity	≥ \$2,000,000

The Trust's indentures require its unsecured debentures to maintain debt to gross book value including convertible debentures not more than 65%, an interest coverage ratio not less than 1.65X and Unitholders' equity not less than \$500,000.

These covenants are required to be calculated based on Canadian generally accepted accounting principles ("GAAP") at the time of debt issuance. If the Trust does not meet all externally imposed financial covenants, then the related debt will become immediately due and payable unless the Trust is able to remedy the default or obtain a waiver from lenders. For the year ended December 31, 2022, the Trust was in compliance with all financial covenants.

28. Commitments and contingencies

The Trust has certain obligations and commitments pursuant to development management agreements to complete the purchase of Earnouts totalling approximately 121,000 square feet (December 31, 2021 – 131,000 square feet) of development space from Penguin and others, based on a pre-negotiated formula, as more fully described in Note 4, "Investment properties". As at December 31, 2022, the carrying value of these obligations and commitments included in properties under development was \$54,847 (December 31, 2021 – \$60,700). The timing of completion of the purchase of the Earnouts, and the final prices, cannot be readily determined because they are a function of future tenant leasing.

The Trust has also entered into various other development construction contracts totalling \$20,669 (December 31, 2021 – \$14,934) and commitments relating to equity accounted investments that total \$200,956 (December 31, 2021 – \$293,688), of which the Trust's share is \$90,161 (December 31, 2021 – \$123,584), see Note 5, "Equity accounted investments", that will be incurred in future periods.

The Trust entered into agreements with Penguin in which the Trust will lend funds in the form of mortgages receivable, as disclosed in Note 6(a). The maximum amount that may be provided under the agreements totals \$190,720 (December 31, 2021 – \$300,796) (see also Note 6, "Mortgages, loans and notes receivable"), of which \$39,456 has been provided as at December 31, 2022 (December 31, 2021 – \$139,589).

As at December 31, 2022, letters of credit totalling \$48,312 (December 31, 2021 – \$34,783) – including letters of credit drawn down under the revolving operating facilities described in Note 12(c) – have been issued on behalf of the Trust by financial institutions as security for debt and for maintenance and development obligations to municipal authorities.

The Trust carries insurance and indemnifies its Trustees and officers against any and all claims or losses reasonably incurred in the performance of their services to the Trust to the extent permitted by law.

The Trust, in the normal course of operations, is subject to a variety of legal and other claims. Management and the Trust's legal counsel evaluate all claims on their apparent merits and accrue management's best estimate of the likely cost to satisfy such claims. Management believes the outcome of current legal and other claims filed against the Trust, after considering insurance coverage, will not have a significant impact on the Trust's consolidated financial statements.

29. Subsequent event

The Trust together with an entity, PCVP, which is classified as investment in associates, entered into an agreement to dispose approximately 6.4 acres of land located in Vaughan, Ontario (VMC) to an unrelated party, which closed in February 2023, for gross proceeds of \$95,550 that was satisfied with cash. The Trust's share of such proceeds was \$58,371, comprised of \$42,321 relating to the Trust's two-thirds share of the 4.3 acres of land on western part of SmartVMC which were previously consolidated in the Trust's consolidated financial statements and presented as assets held for sale at December 31, 2022, and \$16,050 relating to the Trust's 50% share of 2.1 acres of land on eastern part of SmartVMC which were previously recorded in equity accounted investments.